

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|------------------|--|------------|--|--|--|
| <b>SOLICITATION/CONTRACT/ORDER FOR COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  | 1. REQUISITION NO.                                                                                                                                                                                         |                                                                                          | PAGE 1 OF 63                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| <b>OFFEROR TO COMPLETE BLOCKS 12, 17, 23, 24, &amp; 30</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 2. CONTRACT NO.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  | 3. AWARD/EFFECTIVE DATE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  | 4. ORDER NO.     |                                                                                                                                                                                                            | 5. SOLICITATION NUMBER                                                                   |                                                                                                                                                                                                                                                                                                                                              | 6. SOLICITATION ISSUE DATE                                                                                                                                                                                                                                                                                                                                    |  |                  |  |            |  |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            | 36C24426Q0486                                                                            |                                                                                                                                                                                                                                                                                                                                              | 04-29-2026                                                                                                                                                                                                                                                                                                                                                    |  |                  |  |            |  |  |  |
| 7. FOR SOLICITATION INFORMATION CALL:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |  | a. NAME<br>Michael Burke                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |  |                  |                                                                                                                                                                                                            | b. TELEPHONE NO. (No Collect Calls)<br>215-823-5185                                      |                                                                                                                                                                                                                                                                                                                                              | 8. OFFER DUE DATE/LOCAL TIME 05-18-2026<br>12:00 EDT                                                                                                                                                                                                                                                                                                          |  |                  |  |            |  |  |  |
| 9. ISSUED BY<br>Department of Veterans Affairs<br>Network Contracting Office 4                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  | 10. THIS ACQUISITION IS<br><input type="checkbox"/> SMALL BUSINESS<br><input type="checkbox"/> HUBZONE SMALL BUSINESS<br><input checked="" type="checkbox"/> SERVICE-DISABLED VETERAN-OWNED SMALL BUSINESS |                                                                                          | <input type="checkbox"/> UNRESTRICTED OR <input checked="" type="checkbox"/> SET ASIDE: 100 % FOR:<br><input type="checkbox"/> WOMEN-OWNED SMALL BUSINESS (WOSB) ELIGIBLE UNDER THE WOMEN-OWNED SMALL BUSINESS PROGRAM<br><input type="checkbox"/> EDWOSB<br><input type="checkbox"/> 8(A)<br>NAICS: 524292<br>SIZE STANDARD: \$45.5 Million |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 11. DELIVERY FOR FOB DESTINATION UNLESS BLOCK IS MARKED<br><input type="checkbox"/> SEE SCHEDULE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  | 12. DISCOUNT TERMS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |  |                  |                                                                                                                                                                                                            | 13a. THIS CONTRACT IS A RATED ORDER UNDER DPAS (15 CFR 700)<br><input type="checkbox"/>  |                                                                                                                                                                                                                                                                                                                                              | 13b. RATING<br>N/A                                                                                                                                                                                                                                                                                                                                            |  |                  |  |            |  |  |  |
| 15. DELIVER TO<br>VISN 4 VAMCs (See Statement of Work)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  | 16. ADMINISTERED BY<br>Department of Veterans Affairs<br>Network Contracting Office 4                                                                                                                      |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 17a. CONTRACTOR/OFFEROR<br>CODE<br>FACILITY CODE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  | 18a. PAYMENT WILL BE MADE BY<br>CODE<br>Austin Payment Center<br>Department of Veterans Affairs<br>PO Box 149971<br>Austin TX 78714-9971<br>PHONE: (877) 353-9791 FAX: (512) 460-5429                      |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 17b. CHECK IF REMITTANCE IS DIFFERENT AND PUT SUCH ADDRESS IN OFFER<br><input type="checkbox"/>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  | 18b. SUBMIT INVOICES TO ADDRESS SHOWN IN BLOCK 18a UNLESS BLOCK BELOW IS CHECKED<br><input type="checkbox"/> SEE ADDENDUM                                                                                  |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 19. ITEM NO.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  | 20. See CONTINUATION Page<br>SCHEDULE OF SUPPLIES/SERVICES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |  |                  |                                                                                                                                                                                                            | 21. QUANTITY                                                                             |                                                                                                                                                                                                                                                                                                                                              | 22. UNIT                                                                                                                                                                                                                                                                                                                                                      |  | 23. UNIT PRICE   |  | 24. AMOUNT |  |  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  | Pharmacy First Fill Services - VISN 4<br>Please see following pages for complete information. Solicitation is for a 5-year Firm Fixed Priced IDIQ. The IDIQ will serve as an Indefinite Delivery Vehicle and funding and authorization to proceed will be provided via task orders placed against this IDIQ, contingent upon the availability of VA funding and facility need. Period of Performance is 07/31/2026 to 07/30/2031 Contractor shall comply with all applicable wage & hour laws and is responsible for the correct wage titles. VAAR 852.219-75 must be complied with. This is a FAR Part 12 transaction.<br><br>All responses to this RFQ must be emailed to Michael Burke at Michael.Burke4@va.gov Questions must be directed to Michael Burke at Burke4@va.gov. Questions must be received by 05/06/2026 12:00 noon EDT otherwise they will not be responded to.<br><br>(Use Reverse and/or Attach Additional Sheets as Necessary) |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  |                  |  |            |  |  |  |
| 25. ACCOUNTING AND APPROPRIATION DATA See CONTINUATION Page                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              | 26. TOTAL AWARD AMOUNT (For Govt. Use Only)                                                                                                                                                                                                                                                                                                                   |  |                  |  |            |  |  |  |
| <input checked="" type="checkbox"/> 27a. SOLICITATION INCORPORATES BY REFERENCE FAR 52.212-1, 52.212-4. FAR 52.212-3 AND 52.212-5 ARE ATTACHED. ADDENDA<br><input type="checkbox"/> 27b. CONTRACT/PURCHASE ORDER INCORPORATES BY REFERENCE FAR 52.212-4. FAR 52.212-5 IS ATTACHED. ADDENDA<br><input type="checkbox"/> 28. CONTRACTOR IS REQUIRED TO SIGN THIS DOCUMENT AND RETURN COPIES TO ISSUING OFFICE. CONTRACTOR AGREES TO FURNISH AND DELIVER ALL ITEMS SET FORTH OR OTHERWISE IDENTIFIED ABOVE AND ON ANY ADDITIONAL SHEETS SUBJECT TO THE TERMS AND CONDITIONS SPECIFIED |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              | <input checked="" type="checkbox"/> ARE <input type="checkbox"/> ARE NOT ATTACHED.<br><input type="checkbox"/> ARE <input type="checkbox"/> ARE NOT ATTACHED<br><input type="checkbox"/> 29. AWARD OF CONTRACT: REF. OFFER DATED YOUR OFFER ON SOLICITATION (BLOCK 5), INCLUDING ANY ADDITIONS OR CHANGES WHICH ARE SET FORTH HEREIN IS ACCEPTED AS TO ITEMS: |  |                  |  |            |  |  |  |
| 30a. SIGNATURE OF OFFEROR/CONTRACTOR                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |                  |                                                                                                                                                                                                            |                                                                                          |                                                                                                                                                                                                                                                                                                                                              | 31a. UNITED STATES OF AMERICA (SIGNATURE OF CONTRACTING OFFICER)                                                                                                                                                                                                                                                                                              |  |                  |  |            |  |  |  |
| 30b. NAME AND TITLE OF SIGNER (TYPE OR PRINT)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  | 30c. DATE SIGNED |                                                                                                                                                                                                            | 31b. NAME OF CONTRACTING OFFICER (TYPE OR PRINT)<br>Michael Burke<br>Contracting Officer |                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                               |  | 31c. DATE SIGNED |  |            |  |  |  |

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## SECTION B - CONTINUATION OF SF 1449 BLOCKS

### B.1 CONTRACT ADMINISTRATION DATA

1. Contract Administration: All contract administration matters will be handled by the following individuals:

a. CONTRACTOR:

b. GOVERNMENT: Contracting Officer 36C244

Department of Veterans Affairs

Network Contracting Office 4

2. CONTRACTOR REMITTANCE ADDRESS: All payments by the Government to the contractor will be made in accordance with:

☒ 52.232-33, Payment by Electronic Funds Transfer—System For Award Management, or

☐ 52.232-36, Payment by Third Party

3. INVOICES: Invoices shall be submitted in arrears:

a. Quarterly ☐

b. Semi-Annually ☐

c. Other ☒ monthly

4. GOVERNMENT INVOICE ADDRESS: All Invoices from the contractor shall be submitted electronically in accordance with VAAR Clause 852.232-72 Electronic Submission of Payment Requests.

ACKNOWLEDGMENT OF AMENDMENTS: The offeror acknowledges receipt of amendments to the Solicitation numbered and dated as follows:

| AMENDMENT NO | DATE |
|--------------|------|
|              |      |
|              |      |
|              |      |

### **PERFORMANCE WORK STATEMENT**

#### **1. BACKGROUND**

Veterans Integrated Service Network 4 (VISN 04) requires a Contractor to provide pharmacy benefit management first fill services such as filling and dispensing original prescriptions that are written by Veterans Affairs (VA) approved prescribers assigned to the Veteran Affairs Community Based Outpatient Clinic (CBOCs/Clinics), VA Emergency Rooms, and other locations within VISN 04 Veterans Affairs Medical Centers (VAMCs) catchment locations as required by the Department of Veterans Affairs. The retail pharmacies will also provide medication counseling per Omnibus Budget Reconciliation Act of 1990 requirements (OBRA-90) and other applicable State practice requirements. Prices shall be offered at negotiated prices.

#### **2. PERIOD OF PERFORMANCE (PoP)**

The estimated period of performance (PoP) is five (5) 12-month years as defined in the schedule.

| Year              | Begin                                                                                                                 | End                                                                                                                   |
|-------------------|-----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| YEAR 1: 2026-2027 | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2026</u> | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2027</u> |
| YEAR 2: 2027-2028 | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2027</u> | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2028</u> |
| YEAR 3: 2028-2029 | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2028</u> | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2029</u> |
| YEAR 4: 2029-2030 | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2029</u> | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/30/2030</u> |

|                   |                                                                                                                       |                                                                                                                       |
|-------------------|-----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| YEAR 5: 2030-2031 | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/31/2030</u> | <u>Altoona, Butler, Coatesville, Erie, Lebanon, Philadelphia, Pittsburgh, Wilkes-Barre, and Wilmington: 7/30/2031</u> |
|-------------------|-----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|

VISN 04 VAMCs will submit yearly task orders (TOs) under this contract. It will be at the Government's discretion based on continued need for services, Contractor performance, and availability of funds.

### **3. CATCHMENT LOCATIONS**

View Attachment A

Additional geographic areas may be added to this contract by mutual agreement as services will be needed for any new Community Based Outpatient Clinic (CBOCs/Clinics). Contractor must have one or more pharmacies within 10 miles of the catchment locations (provided in Attachment A). Contract requirements and rates will be stated in the proposal and subsequent contract.

### **4. GENERAL REQUIREMENTS**

**Contractor shall provide a list of potential pharmacies that fit the demographic requirements (within a ten (10) mile radius of the Community Based Outpatient Clinics and Emergency Departments listed in Attachment A). From this list, the VA will choose which pharmacies they would like to use for the services based on location, parking, and other Veteran convenience factors as determined by the VA Healthcare System/VISN 04.**

**In addition to the Community Based Outpatient Clinics (CBOCs) coverage, this contract will require services for the patients seen in the VA Emergency Department (24/7-365 days a year services), virtual-telehealth, and other associated clinics where there is need to provide first fill services to optimize patient care.**

**Throughout the contract, any additional pharmacy(s) requested by the Chief of Pharmacy or designee will be added, trained, and eligible with no additional expense. Contractor will coordinate training and implementation of designated pharmacies.**

"Catch all" clinic vouchers may be applied as it is intended to utilize the vendor's network, pharmacies, and pricing but it is open provider (pharmacy) and open formulary. It will only be used by VA Pharmacy Management to coordinate special cases where prescription needs in the community are outside of the normal CBOC process when necessary.

After a selection has been made, Contractor shall create networks such that only the chosen pharmacies can be used for prescriptions from the providers authorized by the VISN 04 Veterans Affairs Medical Centers. The CBOCs/Clinics operating hours are normally 8:00 a.m. to 4:30 p.m. Eastern Standard Time, Monday-Friday, but can include evening and weekend clinics. It will exclude federal holidays.

FEDERAL HOLIDAYS:

- **New Year's Day**
- **Martin Luther King Jr.'s Birthday**

- **Presidents' Day**
- **Memorial Day**
- **Juneteenth Day**
- **Independence Day**
- **Labor Day**
- **Columbus Day**
- **Veterans Day**
- **Thanksgiving Day**
- **Christmas Day**

#### **4.1 PRESCRIPTION FILL PROCESS**

Pharmacy will fill and dispense original prescriptions that are written by VA providers assigned to the VISN 04 VA Health Care System and CBOCs/Clinics. Prescriptions to be filled will be presented to the contract pharmacy on a consult form for non-controlled substances.

- 4.1.1 This process is only for new, urgent/emergent prescriptions.
- 4.1.2 No refills or renewals are authorized.
- 4.1.3 No more than a 14-day supply or single unit dose item such as bottle of eye drops (unless repackaging is not an option -- examples: insulin, oral inhalers, etc.).
- 4.1.4 The course of antibiotics will be delivered as full course.
- 4.1.5 Non-emergent medications (i.e., any expendable stock/supply items [non-drug products], cosmetics, over-the-counter medications, nutritional supplements, vitamins, or herbal supplements) as identified by not being on the provided VA EDL are not to be dispensed by the pharmacy.
- 4.1.6 Prescriptions shall be filled with generic drugs to the extent permitted by law. Generic drugs shall be dispensed in the professional judgment of the pharmacist. The substitute product is available, safe, effective, and to the greatest extent possible, contains the same chemical ingredients of the same strength, quantity, and dosage of the brand name. All generic products used must be in compliance with Federal and State requirements.
- 4.1.7 Brand name drugs will only be reimbursed if no generic form of the drug exists in the marketplace.
- 4.1.8 Contractor and all pharmacies shall keep all information concerning VA beneficiaries confidential and shall not release or disclose information to any person, except as authorized in writing and according to all applicable laws. The Privacy Act of 1974, Public Law 93-579, December 31, 1974,(5 U.S.C. 552a) applies to this procurement.
- 4.1.9 Government reserves the right to fill any prescriptions covered under this contract with its own resources and/or staff.
- 4.1.10 Recalled and Defective Products: Contractor will immediately notify the Contracting Officer of any recalls of product or other important product safety issues. As appropriate, Contractor will replace and/or reimburse recalled/defective products at no cost to the Government. Contractor may be liable for costs of processing recalls, i.e. administrative and clinical services to replace recalled/defective products.

- 4.1.11 Pharmacy hours shall be furnished by Contractor. The minimum allowable hours are Monday through Friday, 8:00 a.m. to 6:00 p.m. Pharmacy hours will preferably be each day from 8:00 a.m. to 9:00 p.m.

#### **4.2 PHARMACY LICENSING AND QUALIFICATIONS**

Pharmacies utilized by Contractor shall be in good standing with their respective State Board of Pharmacy in Pennsylvania, New Jersey, Delaware, or Ohio.

Pharmacies utilized by Contractor shall have a current Drug Enforcement Administration (DEA) license, controlled substance license, and license from the respective State Board of Pharmacy in Pennsylvania, New Jersey, Delaware, and Ohio.

4.2.1 Pharmacists Requirements:

- A. Graduate of an Accreditation Council for Pharmacy Education (ACPE) College of Pharmacy
- B. Licensed in the States of Pennsylvania, New Jersey, Delaware, or Ohio and in good standing with the State Board of Pharmacy.
- C. Pharmacy will fill and dispense original prescriptions that are written by VA providers assigned to VISN 04 VA Healthcare System and CBOCs/Clinics.

- 4.2.2 Contractor shall provide Licensed Registered Pharmacists that will collect, synthesize, and interpret patient prescription, and disease data.

- 4.2.3 Identify, clarify, and resolve drug related problems with prescriber and patient.

- 4.2.4 Be available to answer any drug related questions that patients may have after prescription is filled.

- 4.2.5 Waiting times for prescription dispensing shall be thirty (30) minutes on average but shall not exceed one (1) hour.

- 4.2.6 Checks for factual and potential drug related problems, including (but not limited to):

- A. Therapeutic duplication
- B. Drug-disease contraindications
- C. Drug interactions (including interactions with over-the-counter drugs)
- D. Incorrect drug dosage
- E. Drug/food interactions

#### **4.3 PHARMACIST COUNSELING CONDITIONS**

Contractor shall offer patients counseling from a Pharmacist for each prescription filled. Counseling offered shall be consistent with the State Board of Pharmacy requirements to ensure appropriate use and optimal outcomes from drug therapy.

- 4.3.1 The counseling shall include, but is not limited to:

- A. Name, strength, dosage form
- B. Route of administration
- C. Special directions and precautions
- D. Common side effects and action required if side effects occur

- E. Expectations and techniques for self-monitoring drug therapy
- F. Action to be taken if a dose is missed
- G. Proper storage
- H. No refills
- I. What the patient can expect from the medication
- J. How to follow up and receive medication from VA Pharmacy

4.3.2 Pharmacies authorized to fill prescriptions under Contractor's plan must agree to the following conditions:

4.3.2.1 Pharmacists will review allergy history with patients prior to filling prescriptions.

4.3.2.2 All information concerning VA beneficiaries shall be kept confidential and shall not be disclosed to any person, except as authorized in writing and according to all applicable laws.

4.3.2.3 Representatives of the VA are authorized to visit the contractor's site and the premises of any pharmacy filling VA prescriptions during regular business hours for the purposes of auditing and evaluating, which may include the inspection of clinical records.

4.3.2.4 Contractor shall report all adverse drug events reported by VA beneficiaries to VISN 04, Chief of Pharmacy Services or designee, and to the approved prescribing provider.

4.3.2.5 Services provided to VA beneficiaries under this contract shall meet all applicable Federal and State regulations.

#### 4.4 **LABELING**

All prescriptions must have proper auxiliary labels attached, appropriate counseling, federally required medication guides, and drug interaction sheets provided to VA beneficiaries.

#### 4.5 **CUSTOMER SERVICE**

Pharmacy staff/pharmacists must provide excellent customer service to patients, VA staff, and providers. Treat all patients, VA staff, and providers with dignity, courtesy, and respect.

## 5 **CONTRACTOR REPORTING REQUIREMENTS**

Contractor shall provide monthly summary (for each contracted Pharmacy or VA CBOC/Clinic) via encrypted email to VISN 04 VAMCs' Pharmacy Service detailing the following information for services provided:

- A. Patient name and address
- B. Medication name and strength
- C. Quantity dispensed
- D. NDC (National Drug Code)
- E. Prescription Number
- F. Prescription Cost with change from previous month's cost
- G. Prescriber Name
- H. Days' Supply
- I. VA Location



J. Number of patients utilizing contract. All documents will be made available in excel or CSV format and will be enabled to allow the end users to articulate and compile data.

#### **6.1 SUBMIT CLAIMS REPORTS**

- 6.1.1 Contractor to submit monthly report that are sent electronically encrypted to VAMC Point of Contact (POC) for their review by 15<sup>th</sup> of the month for the previous month's claims.**
- 6.1.2 Reports to be sent to VAMC POC for their review to ensure the appropriate emergent prescription fill using approved formulary.**
- 6.1.3 Contractor will be available to provide quarterly telephone conference calls to review monthly reports, trends, provider data, prescription totals, etc.
- 6.1.4 Contractor will be available to provide a yearly in-person meeting or telephone conference call to review the prior fiscal year data. Contractor will provide verification, through local exercise participation or validated after action response report, of capability to mobilize and facilitate emergency pharmacy services due to disaster.

#### **6.2 PROVIDER LIST**

- 6.2.1 Contractor must update provider list within 5 business days of any updates from VISN 04 VAMCs.
- 6.2.2 All incidents are to be reported to VAMC POC.

#### **6.3 PATIENT SAFETY**

- 6.3.1 Patient safety incidents shall be reported using Patient Safety Report.
- 6.3.2 Medication errors or events that result in required hospitalization, clinical intervention, or significant negative events will be reported to the VA immediately (within 24 hours).
- 6.3.3 All incidents will need to be reported immediately (within 24 hours).
- 6.3.4 All medication errors and medication related incidents will be recorded, investigated, and reported to the VA on a quarterly basis.
- 6.3.5 Contractor is responsible for completing fact finding and reporting back to the VAMC POC/Contracting Officer's Representative (COR) within 72 hours (three business days). No deviation will be acceptable.

### **6 GOVERNMENT RESPONSIBILITIES**

#### **7.1 EMERGENT DRUG LIST (EDL)**

VA has developed a list of prescription drug products that are pre-approved to be sent to contract pharmacy for veterans. This list is known as the "Emergent Drug List" (EDL) and designates the days' supply amount allowable for the given drug.

- 7.1.1 The VISN 04 VAMCs will be responsible for updating, maintaining, and providing copies of the EDL to the Contractor.
  - 7.1.2 The EDL will generally be updated no more often than monthly to minimize database maintenance efforts by the Contractor.
- 7.2 Government shall be responsible for quality assurance and monitoring of Contractor's performance. This may include, but not limited to: kickoff meeting, quarterly meetings, and/or site visits. If quarterly meetings are required, this will be accomplished via teleconference. Contractor will be notified at least 10 business days prior to the meeting.
- 7.3 VISN 04 VAMCs will provide Contractor with all the provider names for each VA facility location and their respective DEAs that are being used (or will notify if a provider does not use a DEA).
  - 7.3.1 VA DEA numbers may be utilized for some providers at some locations; however, special identifiers must be provided to ensure no cross prescribing by wrong providers.
- 7.4 The VA maintains the ability to provide an electronic version of the form and prescriptions, this includes either electronic transmissions and/or faxing the required information.
  - 7.4.1 For any virtual–telehealth prescriptions, this will be the primary mechanism to provide the form and prescription.
- 7.5 For controlled substances (CII – CV) the consult form will be accompanied by a hand-written prescription on VA Form 10-2577F. A state-mandated controlled-substance prescription form will suffice, if medication is dispensed by a non-VA pharmacy.
- 7.6 Verbal pharmacy orders may be received by the contractor to expedite urgent/emergent orders but require hard copy RX or electronic equivalent for reimbursement.
- 7.7 The VA will issue written controlled prescriptions on the VA high security, tamper resistant, individually numbered VA Form 10-2577F, Security Prescription form or its equivalent. The successful Contractor may obtain a sample the VA Form from the COR/VAMC POC.
  - 7.7.1 This form will have the certificate information which will include all legally required information, as well as BIN and billing information listed at the top and the prescription information to follow.
  - 7.7.2 These forms will be used for each facility utilizing this system. These documents must be accepted by all participating facilities for any non-controlled prescriptions.
  - 7.7.3 If a hard copy prescription is provided, it will have a "wet" signature from the VA provider.

## **7 METHODOLOGY OF AVERAGE WHOLESALE PRICING (AWP)**

Contractor's pricing shall be based on MediSpan, one of the leading national drug-pricing systems used in the pharmaceutical industry.

- 8.1 Contractor's pricing methodology/system is based on the IT platform of its PBM (Pharmacy Benefits Management) claim adjudication system.
- 8.2 Contractor's claim system is linked to MediSpan, which allows them to monitor and adjust to pharmaceutical industry pricing daily, thereby providing the VA with the most current pricing available.

## **8 PERFORMANCE STANDARDS, QUALITY ASSURANCE (QA), and QUALITY IMPROVEMENT (QI)**

Contractor shall provide for quality control/performance improvement purposes the following information:

Customer complaints/suggestions/compliments shall be recorded and reported to the VA on a quarterly basis (or more frequently) if a significant problem occurs.

### **9.1 QUALITY MANAGEMENT/QUALITY ASSURANCE SURVEILLANCE**

Contractor performance will be monitored by the government using the standards as outlined in this Performance Work Statement (PWS) and methods of surveillance detailed in the Quality Assurance Surveillance Plan (QASP). The QASP shall be attached to the resultant contract and shall define the methods and frequency of surveillance conducted.

### **9.2 PERFORMANCE STANDARDS**

Contractor shall comply with the required standards as outlined in the Performance Work Statement (PWS) and the Quality Assurance Surveillance Plan (QASP). The QASP outlines required standards, defines the methods and frequency of surveillance, and will be a part of the resultant contract.

- 9.2.1 The Government reserves the right to refuse acceptance of contractor staff at any time after performance begins, if personal and professional conduct jeopardizes patient care or interferes with the regular and ordinary operation of the facility.
- 9.2.2 Breaches of conduct include intoxication or debilitation resulting from drug use, theft, patient abuse, dereliction, or negligence in performing contract requirements, or other conduct resulting in formal complaints by patients or staff members to designated Government representatives. Standards for conduct shall mirror those prescribed by current Federal Personnel Regulations.
- 9.2.3 The CO and COR shall deal with issues raised concerning contractor's conduct and/or relations with Government employees or patients. The CO is the arbiter and the final authority on validating questions of acceptability of contractor conduct and complaint issues.

### **9.3 PATIENT COMPLAINTS**

The Contracting Officer (CO) will resolve complaints concerning Contractor relations with the Government employees or patients. The CO is final authority on validating complaints. In the event that the Contractor is involved and named in a validated patient complaint, the Government reserves the right to refuse acceptance of the services of

such personnel. This does not preclude refusal in the event of incidents involving physical or verbal abuse.

#### **9.4 AUDIT**

**VA shall randomly audit all prescription fills. The Department of Veterans Affairs shall have free access during regular business hours, and a 24-hour advance notice for non-business hours, to such books, records, invoices, and prescription files as deemed necessary to verify claim information, prescription volume, and the usual and customary charges to the public for covered prescriptions. Contractor shall make all prescription records and invoices available at the time of the audit.**

#### **9.5 QUALITY ASSURANCE SURVEILLANCE PLAN (QASP)**

**Performance Standards:** The contractor shall comply with the required standards as outlined in the Performance Work Statement (PWS) and the Quality Assurance Surveillance Plan (QASP). The QASP outlines required standards, defines the methods and frequency of surveillance, and will be a part of the resultant contract.

- 9.5.1 Government reserves the right to refuse acceptance of contractor staff at any time after performance begins, if personal and professional conduct jeopardizes patient care or interferes with the regular and ordinary operation of the facility. Breaches of conduct include intoxication or debilitation resulting from drug use, theft, patient abuse, dereliction, or negligence in performing contract requirements, or other conduct resulting in formal complaints by patients or staff members to designated Government representatives. Standards for conduct shall mirror those prescribed by current Federal Personnel Regulations. The CO and COR shall deal with issues raised concerning contractor's conduct and/or relations with Government employees or patients. The CO is the arbiter and the final authority on validating questions of acceptability of contractor conduct and complaint issues.

#### **9.6 REGISTRATION WITH CONTRACTOR PERFORMANCE ASSESSMENT REPORTING SYSTEM (CPARS)**

As prescribed in Federal Acquisition Regulation (FAR) Part 42.15, the Department of Veterans Affairs (VA) evaluates Contractor past performance on all contracts that exceed the Simplified Acquisition Threshold ("SAT") and shares those evaluations with other Federal Government contract specialists and procurement officials. The FAR requires that the Contractor be provided an opportunity to comment on past performance evaluations prior to each report closing. To fulfill this requirement VA uses an online database, CPARS, which is maintained by the Naval Seal Logistics Center in Portsmouth, New Hampshire. CPARS has connectivity with the Past Performance Information Retrieval System (PPIRS) database, which is available to all Federal agencies. PPIRS is the system used to collect and retrieve performance assessment reports used in source selection determinations and completed CPARS report cards transferred to PPIRS. CPARS also includes access to the federal awardee performance and integrity information system (FAPIIS). FAPIIS is a web-enabled application accessed via CPARS for Contractor responsibility determination information.

- 9.6.1 Failure to have a current registration with the CPARS database, or to re-assign the report to the CO within those thirty days, will result in the Government's evaluation being placed on file in the database with a statement that the Contractor failed to respond

**VISN 04 First Fill Pharmacy  
Attachment A (catchment areas)**

**WESTERN VAMC MARKET**

**Altoona:**

|                                 |                                                            |
|---------------------------------|------------------------------------------------------------|
| James E. Zandt – Emergency Room | 2907 Pleasant Valley Blvd, Johnstown, PA 16602             |
| Johnstown VA Clinic             | 598 Galleria Drive, Johnstown, PA 15904                    |
| DuBois VA Clinic                | 5690 Shaffer Road, Dubois, PA 15801                        |
| State College VA Clinic         | 2581 Clyde Ave, State College, PA 16801                    |
| Huntington County VA Clinic     | 13903 William Penn Highway, Mapleton Depot, PA 17052       |
| Indiana County VA Clinic        | Regency Mall, 1570 Oakland Ave, Ste 100, Indiana, PA 15701 |
| VISN 04 Virtual Urgent Care     |                                                            |

**Butler:**

|                              |                                                            |
|------------------------------|------------------------------------------------------------|
| Abie Abraham VA Clinic       | 353 North Duffy Road, Butler, PA 16001                     |
| Michael A Marzano VA Clinic  | 295 N. Kerrwood Dr., Suite 110, Hermitage, PA 16148        |
| Lawrence County VA Clinic    | 1750 New Butler Rd., New Castle, PA 16101                  |
| Armstrong County VA Clinic   | 11 Hilltop Plaza, Kittanning, PA 16201                     |
| Clarion County VA Clinic     | 56 Clarion Plaza, Ste 115, Monroe Township, PA 16214       |
| Cranberry Township VA Clinic | 900 Commonwealth Dr, Ste 900, Cranberry Township, PA 16066 |

**Erie:**

|                                                |                                                       |
|------------------------------------------------|-------------------------------------------------------|
| Erie VA (Primary Care and Urgent Care Clinics) | 135 East 38 <sup>th</sup> Street, Erie, PA 16504-1559 |
| Crawford County VA Clinic                      | 11200 Perry Highway, Meadville, PA 16335-6558         |
| Ashtabula County VA Clinic                     | 2044 Lambros Lane, Ashtabula, OH 44004-2700           |
| McKean County VA Clinic                        | 20 Foster Brook Boulevard, Bradford, PA 16701-3274    |
| Venango County VA Clinic                       | 125 Home Depot Drive, Franklin, PA 16323-8031         |
| Warren County VA Clinic                        | 3 Farm Colony Drive, Warren, PA 16365-5209            |

**Pittsburgh:**

|                               |                                                        |
|-------------------------------|--------------------------------------------------------|
| H.J. Heinz Campus – Emergency | 1010 Delafield Road, Pittsburgh, PA 15240              |
| Belmont County VA Clinic      | 103 Plaza Drive, Suite 10, St. Clairsville, OH 43950   |
| Westmoreland County VA Clinic | 5274 Route 30, Suite 10, Greensburg, PA 15601          |
| Beaver County VA Clinic       | 300 Brighton Ave, Suite 110, Rochester, PA 15074       |
| Washington County VA Clinic   | 1500 West Chestnut St, Suite 450, Washington, PA 15301 |
| Fayette County VA Clinic      | 635 Pittsburgh Road, Suite 520, Uniontown, PA 15401    |
| Monroeville VA Clinic         | 421 Mall Circle Drive, Monroeville, PA 15146           |

**EASTERN VAMC MARKET****Coatesville:**

|                               |                                                              |
|-------------------------------|--------------------------------------------------------------|
| Coatesville VA Medical Center | 1400 Black Horse Hill Road, Coatesville, PA 19320            |
| Delaware County CBOC          | 4883 West Chester Pike, Newtown Square, PA 19073             |
| West Norriton VA Clinic       | 2495 General Armistead Avenue, Suite A, Norristown, PA 19403 |

**Philadelphia:**

|                                                                    |                                               |
|--------------------------------------------------------------------|-----------------------------------------------|
| Corporal Michael J. Crescenz VA Medical Center                     | 3900 Woodland Ave., Philadelphia, PA 19104    |
| Corporal Michael J. Crescenz VA Medical Center Primary Care Clinic | 3900 Woodland Ave., Philadelphia, PA 19104    |
| Burlington County VA Clinic                                        | 3000 Lincoln Drive, Ste #, Marlton, NJ 08053  |
| Victor J. Saracini VA Clinic                                       | 433 Caredean Drive., Horsham, PA 19044        |
| Gloucester County VA Clinic                                        | 211 County House Road, Sewell, NJ 08080       |
| Camden VA Clinic                                                   | 300 South Broadway, Ste 103, Camden, NJ 08103 |
| West Philadelphia VA                                               | 6232 Market Street, Philadelphia, PA 19139    |

|                             |  |
|-----------------------------|--|
| Outpatient Clinic           |  |
| VISN 04 Virtual Urgent Care |  |

**Lebanon:**

|                             |                                                                                         |
|-----------------------------|-----------------------------------------------------------------------------------------|
| Lebanon VA Medical Center   | 1700 South Lincoln Avenue, Lebanon, PA 17067                                            |
| Hershey Medical Center      | 500 University Drive, Hershey, PA 17033                                                 |
| Wellspan York               | 1001 S. George Street, York, PA 17403                                                   |
| Wellspan Ephrata            | 169 Martin Avenue, Ephrata, PA 17522                                                    |
| Wellspan Lebanon            | 252 S. 4 <sup>th</sup> Street, Lebanon, PA 17042                                        |
| UPMC Hospital Locations     | 111 S. Front Street, Harrisburg, PA 17101<br>310 Stock Street, Ste 1, Hanover, PA 17331 |
| Penn Medicine LG Health     | 555 N. Duke Street, Lancaster, PA 17602                                                 |
| Cumberland County VA Clinic | 5070 Ritter Road, Rossmoyne Business Park,<br>Mechanicsburg, PA 17055                   |
| Lancaster VA Clinic         | 212 Willow Valley Lakes Drive, Ste 208, Willow Street, PA<br>17584                      |
| Berks County VA Clinic      | Ridgeview Professional Center, 2762 Century Blvd, Ste<br>120, Wyomissing, PA 19610      |
| York VA Clinic              | 2251 Eastern Blvd, Ste 101, York, PA 17402                                              |
| Schuylkill County VA Clinic | 1410 Laurel Blvd, Ste 2, Pottsville, PA 17901                                           |

**Wilkes-Barre:**

|                                |                                                                              |
|--------------------------------|------------------------------------------------------------------------------|
| Wilkes-Barre VA Medical Center | 1111 East End Blvd, Wilkes-Barre, PA 18711                                   |
| Allentown VA Clinic            | 3110 Hamilton Blvd, Allentown, PA 18103                                      |
| Sayre VA Clinic                | 1537 North Elmire St., Sayre, PA 18840                                       |
| Williamsport VA Clinic         | 1705 Warren Ave, Ste 304, Williamsport, PA 17701                             |
| Tobyhanna VA Clinic            | 11 Hap Arnold Blvd., Tobyhanna Army Depot, Bldg. 220,<br>Tobyhanna, PA 18466 |
| Columbia County VA Clinic      | 225 Columbia Mall Drive, Columbia County Mall,<br>Bloomsburg, PA 17815       |

|                              |                                                                            |
|------------------------------|----------------------------------------------------------------------------|
| Northampton County VA Clinic | Phoebe Center, 701 Slate Belt Blvd, Bangor, PA 18013                       |
| Wayne County VA Clinic       | Wayne Memorial Systems Complex, 600 Maple Ave., Ste 2, Honesdale, PA 18431 |

**Wilmington:**

|                              |                                                      |
|------------------------------|------------------------------------------------------|
| Wilmington VA Medical Center | 1601 Kirkwood Highway, Wilmington, DE 19805          |
| Sussex County VA Clinic      | 21748 Roth Ave., Georgetown, DE 19947                |
| Kent County VA Clinic        | 1198 South Governors Ave, Suite 201, Dover, DE 19904 |
| Cape May County VA Clinic    | 1 Munro Ave., Cape May, NJ 08204                     |
| Atlantic County VA Clinic    | 1909 New Road, Northfield, NJ 08225                  |
| Cumberland County VA Clinic  | 79 West Landis Ave, Vineland, NJ 08360               |

**B.2 PRICE/COST SCHEDULE****ITEM INFORMATION**

| ITEM<br>NUMBER | DESCRIPTION OF<br>SUPPLIES/SERVICES | QUANTITY | UNIT | UNIT PRICE         | AMOUNT |
|----------------|-------------------------------------|----------|------|--------------------|--------|
| 0001           |                                     | 0.00     | EA   | _____              | _____  |
|                | Dispense Fee (per prescription)     |          |      | _____              | _____  |
| 0002           |                                     | 0.00     | EA   | _____              | _____  |
|                | AWP % DISCOUNT FOR BRAND NAME       |          |      | _____              | _____  |
| 0003           |                                     | 0.00     | EA   | _____              | _____  |
|                | AWP % DISCOUNT FOR GENERIC          |          |      | _____              | _____  |
|                |                                     |          |      | <b>GRAND TOTAL</b> | _____  |



### B.3 DELIVERY SCHEDULE

| ITEM<br>NUMBER | SHIPPING INFORMATION | QUANTITY | DELIVERY<br>DATE |
|----------------|----------------------|----------|------------------|
| 0001           |                      | 0.00     |                  |
| 0002           |                      | 0.00     |                  |
| 0003           |                      | 0.00     |                  |

### B.4 IT CONTRACT SECURITY

#### VA INFORMATION AND INFORMATION SYSTEM SECURITY/PRIVACY

##### 1. GENERAL

Contractors, contractor personnel, subcontractors, and subcontractor personnel shall be subject to the same Federal laws, regulations, standards, and VA Directives and Handbooks as VA and VA personnel regarding information and information system security.

##### 2. ACCESS TO VA INFORMATION AND VA INFORMATION SYSTEMS

a. A contractor/subcontractor shall request logical (technical) or physical access to VA information and VA information systems for their employees, subcontractors, and affiliates only to the extent necessary to perform the services specified in the contract, agreement, or task order.

b. All contractors, subcontractors, and third-party servicers and associates working with VA information are subject to the same investigative requirements as those of VA appointees or employees who have access to the same types of information. The level and process of background security investigations for contractors must be in accordance with VA Directive and Handbook 0710, Personnel Suitability and Security Program. The Office for Operations, Security, and Preparedness is responsible for these policies and procedures.

c. Contract personnel who require access to national security programs must have a valid security clearance. National Industrial Security Program (NISP) was established by Executive Order 12829 to ensure that cleared U.S. defense industry contract personnel safeguard the classified information in their possession while performing work on contracts, programs, bids, or research and development efforts. The Department of Veterans Affairs does not have a Memorandum of Agreement with Defense Security Service (DSS). Verification of a Security Clearance must be processed through the Special Security Officer located in the Planning and National Security Service within the Office of Operations, Security, and Preparedness.

d. Custom software development and outsourced operations must be located in the U.S. to the maximum extent practical. If such services are proposed to be performed abroad and are not disallowed by other VA policy or mandates, the contractor/subcontractor must state where

all non-U.S. services are provided and detail a security plan, deemed to be acceptable by VA, specifically to address mitigation of the resulting problems of communication, control, data protection, and so forth. Location within the U.S. may be an evaluation factor.

e. The contractor or subcontractor must notify the Contracting Officer immediately when an employee working on a VA system or with access to VA information is reassigned or leaves the contractor or subcontractor's employ. The Contracting Officer must also be notified immediately by the contractor or subcontractor prior to an unfriendly termination.

### 3. VA INFORMATION CUSTODIAL LANGUAGE

a. Information made available to the contractor or subcontractor by VA for the performance or administration of this contract or information developed by the contractor/subcontractor in performance or administration of the contract shall be used only for those purposes and shall not be used in any other way without the prior written agreement of the VA. This clause expressly limits the contractor/subcontractor's rights to use data as described in Rights in Data - General, FAR 52.227-14(d) (1).

b. VA information should not be co-mingled, if possible, with any other data on the contractors/subcontractor's information systems or media storage systems in order to ensure VA requirements related to data protection and media sanitization can be met. If co-mingling must be allowed to meet the requirements of the business need, the contractor must ensure that VA's information is returned to the VA or destroyed in accordance with VA's sanitization requirements. VA reserves the right to conduct on site inspections of contractor and subcontractor IT resources to ensure data security controls, separation of data and job duties, and destruction/media sanitization procedures are in compliance with VA directive requirements.

c. Prior to termination or completion of this contract, contractor/ subcontractor must not destroy information received from VA, or gathered/ created by the contractor in the course of performing this contract without prior written approval by the VA. Any data destruction done on behalf of VA by a contractor/subcontractor must be done in accordance with National Archives and Records Administration (NARA) requirements as outlined in VA Directive 6300, Records and Information Management and its Handbook 6300.1 Records Management Procedures, applicable VA Records Control Schedules, and VA Handbook 6500.1, Electronic Media Sanitization. Self-certification by the contractor that the data destruction requirements above have been met must be sent to the VA Contracting Officer within 30 days of termination of the contract.

d. The contractor/subcontractor must receive, gather, store, back up, maintain, use, disclose and dispose of VA information only in compliance with the terms of the contract and applicable Federal and VA information confidentiality and security laws, regulations and policies. If Federal or VA information confidentiality and security laws, regulations and policies become applicable to the VA information or information systems after execution of the contract, or if NIST issues or updates applicable FIPS or Special Publications (SP) after execution of this contract, the parties agree to negotiate in good faith to implement the information confidentiality and security laws, regulations and policies in this contract.

e. The contractor/subcontractor shall not make copies of VA information except as authorized and necessary to perform the terms of the agreement or to preserve electronic information stored on contractor/subcontractor electronic storage media for restoration in case any electronic equipment or data used by the contractor/subcontractor needs to be restored to an operating state. If copies are made for restoration purposes, after the restoration is complete, the copies must be appropriately destroyed.

f. If VA determines that the contractor has violated any of the information confidentiality, privacy, and security provisions of the contract, it shall be sufficient grounds for VA to withhold payment to the contractor or third party or terminate the contract for default or terminate for cause under Federal Acquisition Regulation (FAR) part 12.

g. If a VHA contract is terminated for cause, the associated BAA must also be terminated and appropriate actions taken in accordance with VHA Handbook 1600.01, Business Associate Agreements. Absent an agreement to use or disclose protected health information, there is no business associate relationship.

h. The contractor/subcontractor must store, transport, or transmit VA sensitive information in an encrypted form, using VA-approved encryption tools that are, at a minimum, FIPS 140-2 validated.

i. The contractor/subcontractor's firewall and Web services security controls, if applicable, shall meet or exceed VA's minimum requirements. VA Configuration Guidelines are available upon request.

j. Except for uses and disclosures of VA information authorized by this contract for performance of the contract, the contractor/subcontractor may use and disclose VA information only in two other situations: (i) in response to a qualifying order of a court of competent jurisdiction, or (ii) with VA's prior written approval. The contractor/subcontractor must refer all requests for, demands for production of, or inquiries about, VA information and information systems to the VA contracting officer for response.

k. Notwithstanding the provision above, the contractor/subcontractor shall not release VA records protected by Title 38 U.S.C. 5705, confidentiality of medical quality assurance records and/or Title 38 U.S.C. 7332, confidentiality of certain health records pertaining to drug addiction, sickle cell anemia, alcoholism or alcohol abuse, or infection with human immunodeficiency virus. If the contractor/subcontractor is in receipt of a court order or other requests for the above mentioned information, that contractor/subcontractor shall immediately refer such court orders or other requests to the VA contracting officer for response.

l. For service that involves the storage, generating, transmitting, or exchanging of VA sensitive information but does not require C&A or an MOU-ISA for system interconnection, the contractor/subcontractor must complete a Contractor Security Control Assessment (CSCA) on a yearly basis and provide it to the COR.

#### 4. INFORMATION SYSTEM DESIGN AND DEVELOPMENT

a. Information systems that are designed or developed for or on behalf of VA at non-VA facilities shall comply with all VA directives developed in accordance with FISMA, HIPAA, NIST,

and related VA security and privacy control requirements for Federal information systems. This includes standards for the protection of electronic PHI, outlined in 45 C.F.R. Part 164, Subpart C, information and system security categorization level designations in accordance with FIPS 199 and FIPS 200 with implementation of all baseline security controls commensurate with the FIPS 199 system security categorization (reference Appendix D of VA Handbook 6500, VA Information Security Program). During the development cycle a Privacy Impact Assessment (PIA) must be completed, provided to the COR, and approved by the VA Privacy Service in accordance with Directive 6507, VA Privacy Impact Assessment.

b. The contractor/subcontractor shall certify to the COR that applications are fully functional and operate correctly as intended on systems using the VA Federal Desktop Core Configuration (FDCC), and the common security configuration guidelines provided by NIST or the VA. This includes Internet Explorer 7 configured to operate on Windows XP and Vista (in Protected Mode on Vista) and future versions, as required.

c. The standard installation, operation, maintenance, updating, and patching of software shall not alter the configuration settings from the VA approved and FDCC configuration. Information technology staff must also use the Windows Installer Service for installation to the default "program files" directory and silently install and uninstall.

d. Applications designed for normal end users shall run in the standard user context without elevated system administration privileges.

e. The security controls must be designed, developed, approved by VA, and implemented in accordance with the provisions of VA security system development life cycle as outlined in NIST Special Publication 800-37, Guide for Applying the Risk Management Framework to Federal Information Systems, VA Handbook 6500, Information Security Program and VA Handbook 6500.5, Incorporating Security and Privacy in System Development Lifecycle.

f. The contractor/subcontractor is required to design, develop, or operate a System of Records Notice (SOR) on individuals to accomplish an agency function subject to the Privacy Act of 1974, (as amended), Public Law 93-579, December 31, 1974 (5 U.S.C. 552a) and applicable agency regulations. Violation of the Privacy Act may involve the imposition of criminal and civil penalties.

g. The contractor/subcontractor agrees to:

(1) Comply with the Privacy Act of 1974 (the Act) and the agency rules and regulations issued under the Act in the design, development, or operation of any system of records on individuals to accomplish an agency function when the contract specifically identifies:

(a) The Systems of Records (SOR); and

(b) The design, development, or operation work that the contractor/ subcontractor is to perform;

(1) Include the Privacy Act notification contained in this contract in every solicitation and resulting subcontract and in every subcontract awarded without a solicitation, when the work statement in the proposed subcontract requires the redesign, development, or operation of a SOR on individuals that is subject to the Privacy Act; and

(2) Include this Privacy Act clause, including this subparagraph (3), in all subcontracts awarded under this contract which requires the design, development, or operation of such a SOR.

h. In the event of violations of the Act, a civil action may be brought against the agency involved when the violation concerns the design, development, or operation of a SOR on individuals to accomplish an agency function, and criminal penalties may be imposed upon the officers or employees of the agency when the violation concerns the operation of a SOR on individuals to accomplish an agency function. For purposes of the Act, when the contract is for the operation of a SOR on individuals to accomplish an agency function, the contractor/subcontractor is considered to be an employee of the agency.

(1) "Operation of a System of Records" means performance of any of the activities associated with maintaining the SOR, including the collection, use, maintenance, and dissemination of records.

(2) "Record" means any item, collection, or grouping of information about an individual that is maintained by an agency, including, but not limited to, education, financial transactions, medical history, and criminal or employment history and contains the person's name, or identifying number, symbol, or any other identifying particular assigned to the individual, such as a fingerprint or voiceprint, or a photograph.

(3) "System of Records" means a group of any records under the control of any agency from which information is retrieved by the name of the individual or by some identifying number, symbol, or other identifying particular assigned to the individual.

i. The vendor shall ensure the security of all procured or developed systems and technologies, including their subcomponents (hereinafter referred to as "Systems"), throughout the life of this contract and any extension, warranty, or maintenance periods. This includes, but is not limited to workarounds, patches, hotfixes, upgrades, and any physical components (hereafter referred to as Security Fixes) which may be necessary to fix all security vulnerabilities published or known to the vendor anywhere in the Systems, including Operating Systems and firmware. The vendor shall ensure that Security Fixes shall not negatively impact the Systems.

j. The vendor shall notify VA within 24 hours of the discovery or disclosure of successful exploits of the vulnerability which can compromise the security of the Systems (including the confidentiality or integrity of its data and operations, or the availability of the system). Such issues shall be remediated as quickly as is practical, but in no event longer than 3 days.

k. When the Security Fixes involve installing third party patches (such as Microsoft OS patches or Adobe Acrobat), the vendor will provide written notice to the VA that the patch has been validated as not affecting the Systems within 10 working days. When the vendor is responsible for operations or maintenance of the Systems, they shall apply the Security Fixes within 3 days.

l. All other vulnerabilities shall be remediated as specified in this paragraph in a timely manner based on risk, but within 60 days of discovery or disclosure. Exceptions to this paragraph (e.g. for the convenience of VA) shall only be granted with approval of the contracting officer and the VA Assistant Secretary for Office of Information and Technology.

## 5. INFORMATION SYSTEM HOSTING, OPERATION, MAINTENANCE, OR USE

a. For information systems that are hosted, operated, maintained, or used on behalf of VA at non-VA facilities, contractors/subcontractors are fully responsible and accountable for ensuring compliance with all HIPAA, Privacy Act, FISMA, NIST, FIPS, and VA security and privacy directives and handbooks. This includes conducting compliant risk assessments, routine vulnerability scanning, system patching and change management procedures, and the completion of an acceptable contingency plan for each system. The contractor's security control procedures must be equivalent, to those procedures used to secure VA systems. A Privacy Impact Assessment (PIA) must also be provided to the COR and approved by VA Privacy Service prior to operational approval. All external Internet connections to VA's network involving VA information must be reviewed and approved by VA prior to implementation.

b. Adequate security controls for collecting, processing, transmitting, and storing of Personally Identifiable Information (PII), as determined by the VA Privacy Service, must be in place, tested, and approved by VA prior to hosting, operation, maintenance, or use of the information system, or systems by or on behalf of VA. These security controls are to be assessed and stated within the PIA and if these controls are determined not to be in place, or inadequate, a Plan of Action and Milestones (POA&M) must be submitted and approved prior to the collection of PII.

c. Outsourcing (contractor facility, contractor equipment or contractor staff) of systems or network operations, telecommunications services, or other managed services requires certification and accreditation (authorization) (C&A) of the contractor's systems in accordance with VA Handbook 6500.3, Certification and Accreditation and/or the VA OCS Certification Program Office. Government- owned (government facility or government equipment) contractor-operated systems, third party or business partner networks require memorandums of understanding and interconnection agreements (MOU-ISA) which detail what data types are shared, who has access, and the appropriate level of security controls for all systems connected to VA networks.

d. The contractor/subcontractor's system must adhere to all FISMA, FIPS, and NIST standards related to the annual FISMA security controls assessment and review and update the PIA. Any deficiencies noted during this assessment must be provided to the VA contracting officer and the ISO for entry into VA's POA&M management process. The contractor/subcontractor must use VA's POA&M process to document planned remedial actions to address any deficiencies in information security policies, procedures, and practices, and the completion of those activities. Security deficiencies must be corrected within the timeframes approved by the government. Contractor/subcontractor procedures are subject to periodic, unannounced assessments by VA officials, including the VA Office of Inspector General. The physical security aspects associated with contractor/ subcontractor activities must also be subject to such assessments. If major changes to the system occur that may affect the privacy or security of the data or the system, the C&A of the system may need to be reviewed, retested and re- authorized per VA Handbook 6500.3. This may require reviewing and updating all of the documentation (PIA, System Security Plan, Contingency Plan). The Certification Program Office can provide guidance on whether a new C&A would be necessary.

e. The contractor/subcontractor must conduct an annual self assessment on all systems and outsourced services as required. Both hard copy and electronic copies of the assessment must

be provided to the COR. The government reserves the right to conduct such an assessment using government personnel or another contractor/subcontractor. The contractor/subcontractor must take appropriate and timely action (this can be specified in the contract) to correct or mitigate any weaknesses discovered during such testing, generally at no additional cost.

f. VA prohibits the installation and use of personally-owned or contractor/ subcontractor-owned equipment or software on VA's network. If non-VA owned equipment must be used to fulfill the requirements of a contract, it must be stated in the service agreement, SOW or contract. All of the security controls required for government furnished equipment (GFE) must be utilized in approved other equipment (OE) and must be funded by the owner of the equipment. All remote systems must be equipped with, and use, a VA-approved antivirus (AV) software and a personal (host-based or enclave based) firewall that is configured with a VA-approved configuration. Software must be kept current, including all critical updates and patches. Owners of approved OE are responsible for providing and maintaining the anti-viral software and the firewall on the non-VA owned OE.

g. All electronic storage media used on non-VA leased or non-VA owned IT equipment that is used to store, process, or access VA information must be handled in adherence with VA Handbook 6500.1, Electronic Media Sanitization upon: (i) completion or termination of the contract or (ii) disposal or return of the IT equipment by the contractor/subcontractor or any person acting on behalf of the contractor/subcontractor, whichever is earlier. Media (hard drives, optical disks, CDs, back-up tapes, etc.) used by the contractors/ subcontractors that contain VA information must be returned to the VA for sanitization or destruction or the contractor/subcontractor must self-certify that the media has been disposed of per 6500.1 requirements. This must be completed within 30 days of termination of the contract.

h. Bio-Medical devices and other equipment or systems containing media (hard drives, optical disks, etc.) with VA sensitive information must not be returned to the vendor at the end of lease, for trade-in, or other purposes. The options are:

- (1) Vendor must accept the system without the drive;
- (2) VA's initial medical device purchase includes a spare drive which must be installed in place of the original drive at time of turn-in; or
- (3) VA must reimburse the company for media at a reasonable open market replacement cost at time of purchase.
- (4) Due to the highly specialized and sometimes proprietary hardware and software associated with medical equipment/systems, if it is not possible for the VA to retain the hard drive, then;
  - (a) The equipment vendor must have an existing BAA if the device being traded in has sensitive information stored on it and hard drive(s) from the system are being returned physically intact; and
  - (b) Any fixed hard drive on the device must be non-destructively sanitized to the greatest extent possible without negatively impacting system operation. Selective clearing down to patient data folder level is recommended using VA approved and validated overwriting

technologies/methods/tools. Applicable media sanitization specifications need to be pre-approved and described in the purchase order or contract.

(c) A statement needs to be signed by the Director (System Owner) that states that the drive could not be removed and that (a) and (b) controls above are in place and completed. The ISO needs to maintain the documentation.

## 6. SECURITY INCIDENT INVESTIGATION

a. The term "security incident" means an event that has, or could have, resulted in unauthorized access to, loss or damage to VA assets, or sensitive information, or an action that breaches VA security procedures. The contractor/ subcontractor shall immediately notify the COR and simultaneously, the designated ISO and Privacy Officer for the contract of any known or suspected security/privacy incidents, or any unauthorized disclosure of sensitive information, including that contained in system(s) to which the contractor/ subcontractor has access.

b. To the extent known by the contractor/subcontractor, the contractor/ subcontractor's notice to VA shall identify the information involved, the circumstances surrounding the incident (including to whom, how, when, and where the VA information or assets were placed at risk or compromised), and any other information that the contractor/subcontractor considers relevant.

c. With respect to unsecured protected health information, the business associate is deemed to have discovered a data breach when the business associate knew or should have known of a breach of such information. Upon discovery, the business associate must notify the covered entity of the breach. Notifications need to be made in accordance with the executed business associate agreement.

d. In instances of theft or break-in or other criminal activity, the contractor/subcontractor must concurrently report the incident to the appropriate law enforcement entity (or entities) of jurisdiction, including the VA OIG and Security and Law Enforcement. The contractor, its employees, and its subcontractors and their employees shall cooperate with VA and any law enforcement authority responsible for the investigation and prosecution of any possible criminal law violation(s) associated with any incident. The contractor/subcontractor shall cooperate with VA in any civil litigation to recover VA information, obtain monetary or other compensation from a third party for damages arising from any incident, or obtain injunctive relief against any third party arising from, or related to, the incident.

## 7. LIQUIDATED DAMAGES FOR DATA BREACH

a. Consistent with the requirements of 38 U.S.C. 5725, a contract may require access to sensitive personal information. If so, the contractor is liable to VA for liquidated damages in the event of a data breach or privacy incident involving any SPI the contractor/subcontractor processes or maintains under this contract.

b. The contractor/subcontractor shall provide notice to VA of a "security incident" as set forth in the Security Incident Investigation section above. Upon such notification, VA must secure from a non-Department entity or the VA Office of Inspector General an independent risk analysis of the data breach to determine the level of risk associated with the data breach for the potential misuse of any sensitive personal information involved in the data breach. The term



'data breach' means the loss, theft, or other unauthorized access, or any access other than that incidental to the scope of employment, to data containing sensitive personal information, in electronic or printed form, that results in the potential compromise of the confidentiality or integrity of the data. Contractor shall fully cooperate with the entity performing the risk analysis. Failure to cooperate may be deemed a material breach and grounds for contract termination.

c. Each risk analysis shall address all relevant information concerning the data breach, including the following:

- (1) Nature of the event (loss, theft, unauthorized access);
- (2) Description of the event, including:
  - (a) date of occurrence;
  - (b) data elements involved, including any PII, such as full name, social security number, date of birth, home address, account number, disability code;
- (3) Number of individuals affected or potentially affected;
- (4) Names of individuals or groups affected or potentially affected;
- (5) Ease of logical data access to the lost, stolen or improperly accessed data in light of the degree of protection for the data, e.g., unencrypted, plain text;
- (6) Amount of time the data has been out of VA control;
- (7) The likelihood that the sensitive personal information will or has been compromised (made accessible to and usable by unauthorized persons);
- (8) Known misuses of data containing sensitive personal information, if any;
- (9) Assessment of the potential harm to the affected individuals;
- (10) Data breach analysis as outlined in 6500.2 Handbook, Management of Security and Privacy Incidents, as appropriate; and
- (11) Whether credit protection services may assist record subjects in avoiding or mitigating the results of identity theft based on the sensitive personal information that may have been compromised.

d. Based on the determinations of the independent risk analysis, the contractor shall be responsible for paying to the VA liquidated damages in the amount of \$37.50 per affected individual to cover the cost of providing credit protection services to affected individuals consisting of the following:

- (1) Notification;
- (2) One year of credit monitoring services consisting of automatic daily monitoring of at least 3 relevant credit bureau reports;
- (3) Data breach analysis;

(4) Fraud resolution services, including writing dispute letters, initiating fraud alerts and credit freezes, to assist affected individuals to bring matters to resolution;

(5) One year of identity theft insurance with \$20,000.00 coverage at \$0 deductible; and

(6) Necessary legal expenses the subjects may incur to repair falsified or damaged credit records, histories, or financial affairs.

## 8. SECURITY CONTROLS COMPLIANCE TESTING

On a periodic basis, VA, including the Office of Inspector General, reserves the right to evaluate any or all of the security controls and privacy practices implemented by the contractor under the clauses contained within the contract. With 10 working-day's notice, at the request of the government, the contractor must fully cooperate and assist in a government-sponsored security controls assessment at each location wherein VA information is processed or stored, or information systems are developed, operated, maintained, or used on behalf of VA, including those initiated by the Office of Inspector General. The government may conduct a security control assessment on shorter notice (to include unannounced assessments) as determined by VA in the event of a security incident or at any other time.

## 9. TRAINING

a. All contractor employees and subcontractor employees requiring access to VA information and VA information systems shall complete the following before being granted access to VA information and its systems:

(1) Sign and acknowledge (either manually or electronically) understanding of and responsibilities for compliance with the Contractor Rules of Behavior, Appendix E relating to access to VA information and information systems;

(2) Successfully complete the VA Cyber Security Awareness and Rules of Behavior training and annually complete required security training;

(3) Successfully complete the appropriate VA privacy training and annually complete required privacy training; and

(4) Successfully complete any additional cyber security or privacy training, as required for VA personnel with equivalent information system access [to be defined by the VA program official and provided to the contracting officer for inclusion in the solicitation document - e.g., any role-based information security training required in accordance with NIST Special Publication 800-16, Information Technology Security Training Requirements.]

b. The contractor shall provide to the contracting officer and/or the COR a copy of the training certificates and certification of signing the Contractor Rules of Behavior for each applicable employee within 1 week of the initiation of the contract and annually thereafter, as required.

c. Failure to complete the mandatory annual training and sign the Rules of Behavior annually, within the timeframe required, is grounds for suspension or termination of all physical or electronic access privileges and removal from work on the contract until such time as the training and documents are complete.

(End of Clause)

## SECTION C - CONTRACT CLAUSES

### C.1 52.212-4 CONTRACT TERMS AND CONDITIONS—COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (NOV 2023)

(a) *Inspection/Acceptance.* The Contractor shall only tender for acceptance those items that conform to the requirements of this contract. The Government reserves the right to inspect or test any supplies or services that have been tendered for acceptance. The Government may require repair or replacement of nonconforming supplies or reperformance of nonconforming services at no increase in contract price. If repair/replacement or reperformance will not correct the defects or is not possible, the Government may seek an equitable price reduction or adequate consideration for acceptance of nonconforming supplies or services. The Government must exercise its post-acceptance rights—

(1) Within a reasonable time after the defect was discovered or should have been discovered; and

(2) Before any substantial change occurs in the condition of the item, unless the change is due to the defect in the item.

(b) *Assignment.* The Contractor or its assignee may assign its rights to receive payment due as a result of performance of this contract to a bank, trust company, or other financing institution, including any Federal lending agency in accordance with the Assignment of Claims Act (31 U.S.C. 3727). However, when a third party makes payment (e.g., use of the Governmentwide commercial purchase card), the Contractor may not assign its rights to receive payment under this contract.

(c) *Changes.* Changes in the terms and conditions of this contract may be made only by written agreement of the parties.

(d) *Disputes.* This contract is subject to 41 U.S.C. chapter 71, Contract Disputes. Failure of the parties to this contract to reach agreement on any request for equitable adjustment, claim, appeal or action arising under or relating to this contract shall be a dispute to be resolved in accordance with the clause at Federal Acquisition Regulation (FAR) 52.233-1, Disputes, which is incorporated herein by reference. The Contractor shall proceed diligently with performance of this contract, pending final resolution of any dispute arising under the contract.

(e) *Definitions.* The clause at FAR 52.202-1, Definitions, is incorporated herein by reference.

(f) *Excusable delays.* The Contractor shall be liable for default unless nonperformance is caused by an occurrence beyond the reasonable control of the Contractor and without its fault or negligence such as, acts of God or the public enemy, acts of the Government in either its sovereign or contractual capacity, fires, floods, epidemics, quarantine restrictions, strikes, unusually severe weather, and delays of common carriers. The Contractor shall notify the Contracting Officer in writing as soon as it is reasonably possible after the commencement of any excusable delay, setting forth the full particulars in connection therewith, shall remedy such occurrence with all reasonable dispatch, and shall promptly give written notice to the Contracting Officer of the cessation of such occurrence.

(g) Invoice.

(1) The Contractor shall submit an original invoice and three copies (or electronic invoice, if authorized) to the address designated in the contract to receive invoices. An invoice must include—

(i) Name and address of the Contractor;

(ii) Invoice date and number;

(iii) Contract number, line item number and, if applicable, the order number;

(iv) Description, quantity, unit of measure, unit price and extended price of the items delivered;

(v) Shipping number and date of shipment, including the bill of lading number and weight of shipment if shipped on Government bill of lading;

(vi) Terms of any discount for prompt payment offered;

(vii) Name and address of official to whom payment is to be sent;

(viii) Name, title, and phone number of person to notify in event of defective invoice; and

(ix) Taxpayer Identification Number (TIN). The Contractor shall include its TIN on the invoice only if required elsewhere in this contract.

(x) Electronic funds transfer (EFT) banking information.

(A) The Contractor shall include EFT banking information on the invoice only if required elsewhere in this contract.

(B) If EFT banking information is not required to be on the invoice, in order for the invoice to be a proper invoice, the Contractor shall have submitted correct EFT banking information in accordance with the applicable solicitation provision, contract clause (e.g., 52.232-33, Payment by Electronic Funds Transfer—System for Award Management, or 52.232-34, Payment by Electronic Funds Transfer—Other Than System for Award Management), or applicable agency procedures.

(C) EFT banking information is not required if the Government waived the requirement to pay by EFT.

(2) Invoices will be handled in accordance with the Prompt Payment Act (31 U.S.C. 3903) and Office of Management and Budget (OMB) prompt payment regulations at 5 CFR part 1315.

(h) *Patent indemnity*. The Contractor shall indemnify the Government and its officers, employees and agents against liability, including costs, for actual or alleged direct or contributory infringement of, or inducement to infringe, any United States or foreign patent, trademark or copyright, arising out of the performance of this contract, provided the Contractor is reasonably notified of such claims and proceedings.

(i) Payment.—

(1) *Items accepted.* Payment shall be made for items accepted by the Government that have been delivered to the delivery destinations set forth in this contract.

(2) *Prompt payment.* The Government will make payment in accordance with the Prompt Payment Act (31 U.S.C. 3903) and prompt payment regulations at 5 CFR part 1315.

(3) *Electronic Funds Transfer (EFT).* If the Government makes payment by EFT, see 52.212-5(b) for the appropriate EFT clause.

(4) *Discount.* In connection with any discount offered for early payment, time shall be computed from the date of the invoice. For the purpose of computing the discount earned, payment shall be considered to have been made on the date which appears on the payment check or the specified payment date if an electronic funds transfer payment is made.

(5) *Overpayments.* If the Contractor becomes aware of a duplicate contract financing or invoice payment or that the Government has otherwise overpaid on a contract financing or invoice payment, the Contractor shall—

(i) Remit the overpayment amount to the payment office cited in the contract along with a description of the overpayment including the—

(A) Circumstances of the overpayment (e.g., duplicate payment, erroneous payment, liquidation errors, date(s) of overpayment);

(B) Affected contract number and delivery order number, if applicable;

(C) Affected line item or subline item, if applicable; and

(D) Contractor point of contact.

(ii) Provide a copy of the remittance and supporting documentation to the Contracting Officer.

(6) *Interest.*

(i) All amounts that become payable by the Contractor to the Government under this contract shall bear simple interest from the date due until paid unless paid within 30 days of becoming due. The interest rate shall be the interest rate established by the Secretary of the Treasury as provided in 41 U.S.C. 7109, which is applicable to the period in which the amount becomes due, as provided in (i)(6)(v) of this clause, and then at the rate applicable for each six-month period as fixed by the Secretary until the amount is paid.

(ii) The Government may issue a demand for payment to the Contractor upon finding a debt is due under the contract.

(iii) *Final decisions.* The Contracting Officer will issue a final decision as required by 33.211 if—

(A) The Contracting Officer and the Contractor are unable to reach agreement on the existence or amount of a debt within 30 days;

(B) The Contractor fails to liquidate a debt previously demanded by the Contracting Officer within the timeline specified in the demand for payment unless the amounts were not repaid because the Contractor has requested an installment payment agreement; or

(C) The Contractor requests a deferment of collection on a debt previously demanded by the Contracting Officer (see 32.607-2).

(iv) If a demand for payment was previously issued for the debt, the demand for payment included in the final decision shall identify the same due date as the original demand for payment.

(v) Amounts shall be due at the earliest of the following dates:

(A) The date fixed under this contract.

(B) The date of the first written demand for payment, including any demand for payment resulting from a default termination.

(vi) The interest charge shall be computed for the actual number of calendar days involved beginning on the due date and ending on—

(A) The date on which the designated office receives payment from the Contractor;

(B) The date of issuance of a Government check to the Contractor from which an amount otherwise payable has been withheld as a credit against the contract debt; or

(C) The date on which an amount withheld and applied to the contract debt would otherwise have become payable to the Contractor.

(vii) The interest charge made under this clause may be reduced under the procedures prescribed in FAR 32.608-2 in effect on the date of this contract.

(j) *Risk of loss.* Unless the contract specifically provides otherwise, risk of loss or damage to the supplies provided under this contract shall remain with the Contractor until, and shall pass to the Government upon:

(1) Delivery of the supplies to a carrier, if transportation is f.o.b. origin; or

(2) Delivery of the supplies to the Government at the destination specified in the contract, if transportation is f.o.b. destination.

(k) *Taxes.* The contract price includes all applicable Federal, State, and local taxes and duties.

(l) *Termination for the Government's convenience.* The Government reserves the right to terminate this contract, or any part hereof, for its sole convenience. In the event of such termination, the Contractor shall immediately stop all work hereunder and shall immediately cause any and all of its suppliers and subcontractors to cease work. Subject to the terms of this contract, the Contractor shall be paid a percentage of the contract price reflecting the percentage of the work performed prior to the notice of termination, plus reasonable charges the Contractor can demonstrate to the satisfaction of the Government using its standard record keeping system, have resulted from the termination. The Contractor shall not be required to

comply with the cost accounting standards or contract cost principles for this purpose. This paragraph does not give the Government any right to audit the Contractor's records. The Contractor shall not be paid for any work performed or costs incurred which reasonably could have been avoided.

(m) *Termination for cause.* The Government may terminate this contract, or any part hereof, for cause in the event of any default by the Contractor, or if the Contractor fails to comply with any contract terms and conditions, or fails to provide the Government, upon request, with adequate assurances of future performance. In the event of termination for cause, the Government shall not be liable to the Contractor for any amount for supplies or services not accepted, and the Contractor shall be liable to the Government for any and all rights and remedies provided by law. If it is determined that the Government improperly terminated this contract for default, such termination shall be deemed a termination for convenience.

(n) *Title.* Unless specified elsewhere in this contract, title to items furnished under this contract shall pass to the Government upon acceptance, regardless of when or where the Government takes physical possession.

(o) *Warranty.* The Contractor warrants and implies that the items delivered hereunder are merchantable and fit for use for the particular purpose described in this contract.

(p) *Limitation of liability.* Except as otherwise provided by an express warranty, the Contractor will not be liable to the Government for consequential damages resulting from any defect or deficiencies in accepted items.

(q) *Other compliances.* The Contractor shall comply with all applicable Federal, State and local laws, executive orders, rules and regulations applicable to its performance under this contract.

(r) *Compliance with laws unique to Government contracts.* The Contractor agrees to comply with 31 U.S.C. 1352 relating to limitations on the use of appropriated funds to influence certain Federal contracts; 18 U.S.C. 431 relating to officials not to benefit; 40 U.S.C. chapter 37, Contract Work Hours and Safety Standards; 41 U.S.C. chapter 87, Kickbacks; 49 U.S.C. 40118, Fly American; and 41 U.S.C. chapter 21 relating to procurement integrity.

(s) *Order of precedence.* Any inconsistencies in this solicitation or contract shall be resolved by giving precedence in the following order:

(1) The schedule of supplies/services.

(2) The Assignments, Disputes, Payments, Invoice, Other Compliances, Compliance with Laws Unique to Government Contracts, and Unauthorized Obligations paragraphs of this clause;

(3) The clause at 52.212-5.

(4) Addenda to this solicitation or contract, including any license agreements for computer software.

(5) Solicitation provisions if this is a solicitation.

(6) Other paragraphs of this clause.



(7) The Standard Form 1449.

(8) Other documents, exhibits, and attachments

(9) The specification.

(t) [Reserved]

(u) *Unauthorized Obligations.*

(1) Except as stated in paragraph (u)(2) of this clause, when any supply or service acquired under this contract is subject to any End User License Agreement (EULA), Terms of Service (TOS), or similar legal instrument or agreement, that includes any clause requiring the Government to indemnify the Contractor or any person or entity for damages, costs, fees, or any other loss or liability that would create an Anti-Deficiency Act violation (31 U.S.C. 1341), the following shall govern:

(i) Any such clause is unenforceable against the Government.

(ii) Neither the Government nor any Government authorized end user shall be deemed to have agreed to such clause by virtue of it appearing in the EULA, TOS, or similar legal instrument or agreement. If the EULA, TOS, or similar legal instrument or agreement is invoked through an "I agree" click box or other comparable mechanism (e.g., "click-wrap" or "browse-wrap" agreements), execution does not bind the Government or any Government authorized end user to such clause.

(iii) Any such clause is deemed to be stricken from the EULA, TOS, or similar legal instrument or agreement.

(2) Paragraph (u)(1) of this clause does not apply to indemnification by the Government that is expressly authorized by statute and specifically authorized under applicable agency regulations and procedures.

(v) *Incorporation by reference.* The Contractor's representations and certifications, including those completed electronically via the System for Award Management (SAM), are incorporated by reference into the contract.

(End of Clause)

#### ADDENDUM to FAR 52.212-4 CONTRACT TERMS AND CONDITIONS—COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

Clauses that are incorporated by reference (by Citation Number, Title, and Date), have the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available.

The following clauses are incorporated into 52.212-4 as an addendum to this contract:

## C.2 52.216-18 ORDERING (AUG 2020)

(a) Any supplies and services to be furnished under this contract shall be ordered by issuance of delivery orders or task orders by the individuals or activities designated in the Schedule. Such orders may be issued from 07/31/2026 through 07/30/2031.

(b) All delivery orders or task orders are subject to the terms and conditions of this contract. In the event of conflict between a delivery order or task order and this contract, the contract shall control.

(c) A delivery order or task order is considered "issued" when—

(1) If sent by mail (includes transmittal by U.S. mail or private delivery service), the Government deposits the order in the mail;

(2) If sent by fax, the Government transmits the order to the Contractor's fax number; or

(3) If sent electronically, the Government either—

(i) Posts a copy of the delivery order or task order to a Government document access system, and notice is sent to the Contractor; or

(ii) Distributes the delivery order or task order via email to the Contractor's email address.

(d) Orders may be issued by methods other than those enumerated in this clause only if authorized in the contract.

(End of Clause)

## C.3 52.216-19 ORDER LIMITATIONS (OCT 1995)

(a) *Minimum order.* When the Government requires supplies or services covered by this contract in an amount of less than two (2) prescriptions, the Government is not obligated to purchase, nor is the Contractor obligated to furnish, those supplies or services under the contract.

(b) *Maximum order.* The Contractor is not obligated to honor—

(1) Any order for a single item in excess of one thousand (1,000) prescriptions;

(2) Any order for a combination of items in excess of ten thousand (10,000) prescriptions; or

(3) A series of orders from the same ordering office within ten (10) days that together call for quantities exceeding the limitation in paragraph (b)(1) or (2) of this section.

(c) If this is a requirements contract (i.e., includes the Requirements clause at subsection 52.216-21 of the Federal Acquisition Regulation (FAR)), the Government is not required to order a part of any one requirement from the Contractor if that requirement exceeds the maximum-order limitations in paragraph (b) of this section.

(d) Notwithstanding paragraphs (b) and (c) of this section, the Contractor shall honor any order exceeding the maximum order limitations in paragraph (b), unless that order (or orders) is

returned to the ordering office within five (5) days after issuance, with written notice stating the Contractor's intent not to ship the item (or items) called for and the reasons. Upon receiving this notice, the Government may acquire the supplies or services from another source.

(End of Clause)

#### **C.4 52.216-22 INDEFINITE QUANTITY (NOV 2025) (DEVIATION)**

(a) This is an indefinite-quantity contract for the supplies or services specified, and effective for the period stated, in the Schedule. The quantities of supplies and services specified in the Schedule are estimates only and are not purchased by this contract.

(b) Delivery or performance shall be made only as authorized by orders issued in accordance with the Ordering clause. The Contractor shall furnish to the Government, when and if ordered, the supplies or services specified in the Schedule up to and including the quantity designated in the Schedule as the "maximum." The Government shall order at least the quantity of supplies or services designated in the Schedule as the "minimum."

(c) Except for any limitations on quantities in the Order Limitations clause or in the Schedule, there is no limit on the number of orders that may be issued. The Government may issue orders requiring delivery to multiple destinations or performance at multiple locations.

(d) Any order issued during the ordering period of this contract and not completed within that period shall be completed by the Contractor within the time specified in the order, which may include order options to be exercised after the ordering period of this contract but before the end of the period of performance of the order. The contract shall govern the Contractor's and Government's rights and obligations with respect to that order, including options exercised, to the same extent as if the order were completed during the contract's ordering period; provided, that the Contractor shall not be required to make any deliveries under this contract after 07/30/2031.

(End of Clause)

**852.204-70 Personal Identity Verification of Contractor Personnel.**

**Personal Identity Verification of Contractor Personnel MARCH 2026**

- a. The Contractor shall comply with current Department of Veterans Affairs policy for personal identity verification of all employees performing under this contract when physical access to VA facilities, and/or logical access to VA information and VA information systems is required.
- b. The Contractor shall insert this clause in all subcontracts when the subcontractor's employees will require physical access to VA facilities, and/or logical access to VA information and VA information systems.

**852.204-72, Personnel Vetting and Credentialing. (MARCH 2026)**

**Personnel Vetting and Credentialing. (MARCH 2026)**

**(a) Definitions. As used in this clause –**

*VA Information system* is the same as information system and means, pursuant to 38 U.S.C. 5727, a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information whether automated or manual.

*VA sensitive information* means all VA data, on any storage media or in any form or format, which requires protection due to the risk of harm that could result from inadvertent or deliberate disclosure, alteration, or destruction of the information and includes sensitive personal information. The term includes information where improper use or disclosure could adversely affect the ability of VA to accomplish its mission, proprietary information, records about individuals requiring protection under various confidentiality provisions such as the Privacy Act and the HIPAA Privacy Rule, and information that can be withheld under the Freedom of Information Act. Examples of VA sensitive information include the following: individually-identifiable medical, benefits, and personnel information; financial, budgetary, research, quality assurance, confidential commercial,

critical infrastructure, investigatory, and law enforcement information; information that is confidential and privileged in litigation such as information protected by the deliberative process privilege, attorney work-product privilege, and the attorney-client privilege; and other information which, if released, could result in violation of law or harm or unfairness to any individual or group, or could adversely affect the national interest or the conduct of Federal programs.

(b) *General*. Contractor personnel assigned to work for or on behalf of VA must undergo a background investigation commensurate with the risk and sensitivity level designation associated with the work to be performed at the level indicated in the contract. The Contractor and subcontractors shall comply with VA Directive/Handbook 0710, Personnel Security and Suitability Program, which can be accessed at: <https://vaww.va.gov/vapubs/index.cfm>

(c) *Risk and Sensitivity Levels*. The following table identifies the risk and sensitivity levels that apply to any personnel providing services under this contract.

\*VA Administrations, organizations and staff offices will use the OPM [Position Designation Tool](#).

| <b>Positions/Tasks Designated as Non-Sensitive Positions - Tier 4/High Risk</b> |
|---------------------------------------------------------------------------------|
| <i>Clinical Staff Pharmacist</i>                                                |

Security clearances are granted to individuals with a specific requirement for access to classified material (for example, Confidential, Secret and Top Secret). Contractor personnel that are required to obtain a security clearance will be subject to a Tier 3 or Tier 5 investigation. The following sensitivity designations have been assigned for the identified Tier 3 and Tier 5 required by this contract:

Tier 3: *Not Applicable*

Tier 5: *Not Applicable*

(d) *Fitness*. The results from a background investigation are used to determine if an individual's fitness is sufficient for that individual to perform work for or on behalf of VA in the position identified in this contract. Contractor fitness determinations are made in accordance with 5 CFR Part 731.202.

Fitness requirements for employment are separate and distinct from job qualifications. If a Contractor or subcontractor employee is found to be unsuitable or unfit to provide services under this contract, the Contractor shall immediately remove the employee from working on this contract and take those necessary steps that restrict the employee's logical access to VA data, information, VA sensitive information, or information technology or VA information systems containing such data or information.

The Contractor shall advise the employee that they are not permitted to access any VA controlled building or real property in relation to this contract.

The removal of an unfit Contractor or subcontractor employee does not alleviate the Contractor from satisfying the requirements of this contract. The Government will not reimburse the Contractor for any costs associated with the recruitment/replacement of an employee or subcontractor employee who is found to be unfit.

(e) *Identification Cards.* The Government will provide a Personal Identification Verification (PIV) card or other identification card, as necessary, to fit Contractor personnel who require physical access to VA facilities and/or logical access to VA data, information, VA sensitive information, or information technology or VA information systems containing such data or information. Contractor and subcontractor personnel shall prominently display their PIV/identification card on their persons while working at a VA facility and shall present their PIV/identification card for inspection upon request by a VA official. The Contractor must surrender the employee or subcontractor employee's PIV/identification card in accordance with the requirements set forth in Directive/Handbook 0735 when any of the following events occur:

1. When no longer needed for contract performance.
2. Upon completion of the Contractor/subcontractor employee's employment.
3. Upon contract completion or termination.

(f) *Lost/stolen.* Immediately upon detection, the Contractor shall report a lost or stolen PIV/identification card to the Government authorities as identified in Directive/Handbook 0735. Within 48 hours of reporting the lost/stolen PIV/identification card, the Contractor shall submit to the Program Manager an incident report that describes the relevant facts and circumstances regarding the loss/theft. If the loss/theft was reported by the Contractor to the local police, the Contractor shall further submit a copy of the final police report to the Program Manager within 48 hours of the report being made available by the local police department. The Government will not reimburse the Contractor for any costs that result from lost/stolen PIV/identification card(s).

(g) *Regular Reporting.* The Contractor shall submit a status report to PIV

Sponsor within 5 working days after the end of each calendar quarter and as requested by the Government in order to initiate contract closeout procedures.

The report must provide the status of each contractor/subcontractor employee who is required to have a PIV/identification card during the performance of the contract. The report shall identify the Contractor and the contract number, and list the following status for each contractor/subcontractor employee who holds a PIV/identification card under this contract:

1. Contractor/subcontractor employee name.



2. Name of VA facility where Contractor/subcontractor employee works, if applicable.
3. Date background check submitted for Contractor/subcontractor employee.
4. Date PIV/identification card issued to Contractor/subcontractor employee.
5. Contractor/subcontractor employee's PIV/identification card number, as applicable.
6. Date Contractor/subcontractor employee no longer has need for PIV/identification card.
7. Date Contractor notified VA that PIV/identification card is no longer required.
8. Date Contractor returned PIV/identification card was returned to VA.

(h) *Flow down of clause.* The Contractor shall include the substance of this clause in subcontracts, third-party agreements, and BAA's, in which subcontractors,

third-party servicers/employees, and business associates will perform functions where they will have physical access to a VA facility or logical access to VA data, information, VA sensitive information, or information technology or VA information system containing such data or information.

**(End of clause)]**

## **C.5 52.240-91 SECURITY PROHIBITIONS AND EXCLUSIONS (NOV 2025) (DEVIATION)**

(a) *Definitions.* As used in this clause—

*American Security Drone Act-covered foreign entity* means an entity included on a list that the Federal Acquisition Security Council (FASC) develops and maintains and publishes in the System for Award Management (SAM) at <https://www.sam.gov> (section 1822 of Pub. L. 118-31, 41 U.S.C. 3901 note prec.).

*Backhaul* means intermediate links between the core network, or backbone network, and the small subnetworks at the edge of the network (e.g., connecting cell phones/towers to the core

telephone network). Backhaul can be wireless (e.g., microwave) or wired (e.g., fiber optic, coaxial cable, Ethernet).

*Covered application* means the social networking service TikTok or any successor application or service developed or provided by ByteDance Limited or an entity owned by ByteDance Limited.

*Covered article*, as defined in 41 U.S.C. 4713(k), means:

- (1) Information technology, as defined in 40 U.S.C. 11101, including cloud computing services of all types;
- (2) Telecommunications equipment or telecommunications service, as those terms are defined in section 3 of the Communications Act of 1934 (47 U.S.C. 153);
- (3) The processing of information on a Federal or non-Federal information system, subject to the requirements of the Controlled Unclassified Information program (see 32 CFR part 2002); or
- (4) Hardware, systems, devices, software, or services that include embedded or incidental information technology.

*Covered foreign country* means The People's Republic of China.

*Covered telecommunications equipment or services* means—

- (1) Telecommunications equipment produced by Huawei Technologies Company or ZTE Corporation (or any subsidiary or affiliate of such entities);
- (2) For the purpose of public safety, security of Government facilities, physical security surveillance of critical infrastructure, and other national security purposes, video surveillance and telecommunications equipment produced by Hytera Communications Corporation, Hangzhou Hikvision Digital Technology Company, or Dahua Technology Company (or any subsidiary or affiliate of such entities);
- (3) Telecommunications or video surveillance services provided by such entities or using such equipment; or
- (4) Telecommunications or video surveillance equipment or services produced or provided by an entity that the Secretary of Defense, in consultation with the Director of National Intelligence or the Director of the Federal Bureau of Investigation, reasonably believes to be an entity owned or controlled by, or otherwise connected to, the government of a covered foreign country.

*Critical technology* means—

- (1) Defense articles or defense services included on the United States Munitions List set forth in the International Traffic in Arms Regulations under subchapter M of chapter I of title 22, Code of Federal Regulations;
- (2) Items included on the Commerce Control List set forth in Supplement No. 1 to part 774 of the Export Administration Regulations under subchapter C of chapter VII of title 15, Code of Federal Regulations, and controlled—

(i) Pursuant to multilateral regimes, including for reasons relating to national security, chemical and biological weapons proliferation, nuclear nonproliferation, or missile technology; or

(ii) For reasons relating to regional stability or surreptitious listening;

(3) Specially designed and prepared nuclear equipment, parts and components, materials, software, and technology covered by part 810 of title 10, Code of Federal Regulations (relating to assistance to foreign atomic energy activities);

(4) Nuclear facilities, equipment, and material covered by part 110 of title 10, Code of Federal Regulations (relating to export and import of nuclear equipment and material);

(5) Select agents and toxins covered by part 331 of title 7, Code of Federal Regulations, part 121 of title 9 of such Code, or part 73 of title 42 of such Code; or

(6) Emerging and foundational technologies controlled pursuant to section 1758 of the Export Control Reform Act of 2018 (50 U.S.C. 4817).

*FASC-prohibited unmanned aircraft system* means an unmanned aircraft system manufactured or assembled by an American Security Drone Act—covered foreign entity.

*FASCSA order* means any of the following orders issued under the Federal Acquisition Supply Chain Security Act (FASCSA) requiring removing covered articles from executive agency information systems or excluding one or more named sources or named covered articles from executive agency procurement actions, as described in 41 CFR 201-1.303(d) and (e):

(1) The Secretary of Homeland Security may issue FASCSA orders that apply to civilian agencies, to the extent not covered by paragraph (2) or (3) of this definition. This type of FASCSA order may be referred to as a Department of Homeland Security (DHS) FASCSA order.

(2) The Secretary of Defense may issue FASCSA orders that apply to the Department of Defense (DoD) and national security systems other than sensitive compartmented information systems. This type of FASCSA order may be referred to as a DoD FASCSA order.

(3) The Director of National Intelligence (DNI) may issue FASCSA orders that apply to the intelligence community and sensitive compartmented information systems, to the extent not covered by paragraph (2) of this definition. This type of FASCSA order may be referred to as a DNI FASCSA order.

*Information technology*, as defined in 40 U.S.C. 11101(6)—

(1) Means any equipment or interconnected system or subsystem of equipment, used in the automatic acquisition, storage, analysis, evaluation, manipulation, management, movement, control, display, switching, interchange, transmission, or reception of data or information by the executive agency, if the equipment is used by the executive agency directly or is used by a contractor under a contract with the executive agency that requires the use—

(i) Of that equipment; or

(ii) Of that equipment to a significant extent in the performance of a service or the furnishing of a product;

(2) Includes computers, ancillary equipment (including imaging peripherals, input, output, and storage devices necessary for security and surveillance), peripheral equipment designed to be controlled by the central processing unit of a computer, software, firmware and similar procedures, services (including support services), and related resources; but

(3) Does not include any equipment acquired by a Federal contractor incidental to a Federal contract.

*Intelligence community*, as defined by 50 U.S.C. 3003(4), means the following—

- (1) The Office of the Director of National Intelligence;
- (2) The Central Intelligence Agency;
- (3) The National Security Agency;
- (4) The Defense Intelligence Agency;
- (5) The National Geospatial-Intelligence Agency;
- (6) The National Reconnaissance Office;
- (7) Other offices within the Department of Defense for the collection of specialized national intelligence through reconnaissance programs;
- (8) The intelligence elements of the Army, the Navy, the Air Force, the Marine Corps, the Coast Guard, the Federal Bureau of Investigation, the Drug Enforcement Administration, and the Department of Energy;
- (9) The Bureau of Intelligence and Research of the Department of State;
- (10) The Office of Intelligence and Analysis of the Department of the Treasury;
- (11) The Office of Intelligence and Analysis of the Department of Homeland Security; or
- (12) Such other elements of any department or agency as may be designated by the President, or designated jointly by the Director of National Intelligence and the head of the department or agency concerned, as an element of the intelligence community.

*Interconnection arrangement* means arrangements governing the physical connection of two or more networks to allow the use of another's network to hand off traffic where it is ultimately delivered (e.g., connecting a customer of telephone provider A to a customer of telephone company B) or sharing data and other information resources.

*Kaspersky Lab-covered article* means any hardware, software, or service that—

- (1) Is developed or provided by a Kaspersky Lab-covered entity;
- (2) Includes any hardware, software, or service developed or provided in whole or in part by a Kaspersky Lab-covered entity; or

(3) Contains components using any hardware or software developed in whole or in part by a Kaspersky Lab-covered entity.

*Kaspersky Lab-covered entity* means—

- (1) Kaspersky Lab;
  - (2) Any successor entity to Kaspersky Lab, including any change in name, e.g., “Kaspersky”;
  - (3) Any entity that controls, is controlled by, or is under common control with Kaspersky Lab;
- or
- (4) Any entity of which Kaspersky Lab has a majority ownership.

*National security system*, as defined in 44 U.S.C. 3552, means any information system (including any telecommunications system) used or operated by an agency or by a contractor of an agency, or other organization on behalf of an agency—

(1) The function, operation, or use of which involves intelligence activities; involves cryptologic activities related to national security; involves command and control of military forces; involves equipment that is an integral part of a weapon or weapons system; or is critical to the direct fulfillment of military or intelligence missions, but does not include a system that is to be used for routine administrative and business applications (including payroll, finance, logistics, and personnel management applications); or

(2) Is protected at all times by procedures established for information that have been specifically authorized under criteria established by an Executive order or an Act of Congress to be kept classified in the interest of national defense or foreign policy.

*Roaming* means cellular communications services (e.g., voice, video, data) received from a visited network when unable to connect to the facilities of the home network either because signal coverage is too weak or because traffic is too high.

*Sensitive compartmented information* means classified information concerning or derived from intelligence sources, methods, or analytical processes, which is required to be handled within formal access control systems established by the Director of National Intelligence.

*Sensitive compartmented information system* means a national security system authorized to process or store sensitive compartmented information.

*Source* means a non-Federal supplier, or potential supplier, of products or services, at any tier.

*Subsidiary* means an entity in which more than 50 percent of the entity is owned directly by a parent corporation or through another subsidiary of a parent corporation.

*Substantial or essential component* means any component necessary for the proper function or performance of a piece of equipment, system, or service.

*Unmanned aircraft* means an aircraft that is operated without the possibility of direct human intervention from within or on the aircraft (49 U.S.C. 44801(11)).

*Unmanned aircraft system* means an unmanned aircraft and associated elements (including communication links and the components that control the unmanned aircraft) that are required for the operator to operate safely and efficiently in the national airspace system (49 U.S.C. 44801(12)).

(b) *Prohibitions on providing or using specific products or services in performance of contract.* Unless a waiver or exception applies, the Contractor is prohibited from providing any products or services to the Government or using in the performance of the contract any of the following:

(1) A covered application on any information technology owned or managed by the Government, or on any information technology used or provided by the Contractor under this contract, including equipment provided by the Contractor's employees (section 102 of Division R of the Consolidated Appropriations Act, 2023 (Pub. L. 117-328));

(2) A Kaspersky Lab-covered article (Section 1634 of Division A of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91));

(3) Covered telecommunications equipment or services used as a substantial or essential component of any system, or as critical technology as part of any system (paragraphs (a)(1)(A) of section 889 of the John S. McCain National Defense Authorization Act for Fiscal Year 2019 (Pub. L. 115-232)). This does not prohibit contractors from providing—

(i) A service that connects to the facilities of a third-party, such as backhaul, roaming, or interconnection arrangements; or

(ii) Telecommunications equipment that cannot route or redirect user data traffic or cannot permit visibility into any user data or packets that such equipment transmits or otherwise handles.

(c) Prohibition on unmanned aircraft systems manufactured or assembled by American Security Drone Act—covered foreign entities.

(1) Prohibition. The Contractor is prohibited from—

(i) Delivering any FASC-prohibited unmanned aircraft system, which includes unmanned aircraft (i.e., drones) and associated elements (sections 1823 and 1826 of American Security Drone Act of 2023, within the National Defense Authorization Act for Fiscal Year 2024, Pub. L. 118-31, Div. A, Title XVIII, Subtitle B, 41 U.S.C. 3901 note prec.);

(ii) On or after December 22, 2025, operating a FASC-prohibited unmanned aircraft system in the performance of the contract (section 1824 of Pub. L. 118-31); and

(iii) On or after December 22, 2025, using Federal funds to procure or operate a FASC-prohibited unmanned aircraft system (section 1825 of Pub. L. 118-31).

(2) *Procedures.* The Contractor shall search SAM for the FASC-maintained list of American Security Drone Act—covered foreign entities before proposing, or using in performance of the contract, any unmanned aircraft system. Also, the Contractor shall ensure any effort or expenditure associated with a FASC-prohibited unmanned aircraft system is consistent with a corresponding exemption, exception, or waiver determination expressly stated in the contract.

(3) *Exemptions, exceptions, and waivers.* The prohibitions in paragraph (c) of this clause do not apply where the agency has determined an exemption, exception, or waiver applies, and the contract indicates that such a determination has been made. See sections 1823 through 1825 and 1832 of Public Law 118-31 for statutory requirements pertaining to exemptions, exceptions, and waivers.

(d) *Prohibition on using or providing specific products or services or conducting certain transactions regardless of connection to contract.*

(1) *Certain telecommunications and video surveillance equipment, systems, or services.*

(i) Unless an applicable waiver has been issued by the Government, the Contractor cannot use any equipment, systems, or services that uses covered telecommunications equipment or services as a substantial or essential component of any system, or as critical technology as part of any system (paragraph (a)(1)(B) of section 889 of the John S. McCain National Defense Authorization Act for Fiscal Year 2019 (Pub. L. 115-232)).

(ii) This prohibition applies to using covered telecommunications equipment or services, regardless of whether that use is in performance of work under a Federal contract. This does not prohibit the contractor from using—

(A) A service that connects to the facilities of a third party, such as backhaul, roaming, or interconnection arrangements; or

(B) Telecommunications equipment that cannot route or redirect user data traffic or cannot permit visibility into any user data or packets that such equipment transmits or otherwise handles.

(2) *Office of Foreign Assets Control Restrictions.*

(i) Except as authorized by the Office of Foreign Assets Control (OFAC) in the Department of the Treasury, the Contractor shall not acquire, for use in the performance of this contract, any supplies or services if any proclamation, Executive order, or statute administered by OFAC, or if OFAC's implementing regulations at 31 CFR chapter V, would prohibit such a transaction by a person subject to the jurisdiction of the United States.

(ii) Except as authorized by OFAC, most transactions involving Cuba, Iran, and Sudan are prohibited, as are most imports from Burma or North Korea, into the United States or its outlying areas.

(A) For lists of entities and individuals subject to economic sanctions, see OFAC's List of Specially Designated Nationals and Blocked Persons at <https://home.treasury.gov/policy-issues/financial-sanctions/specially-designated-nationals-and-blocked-persons-list-sdn-human-readable-lists>.

(B) For more information about these restrictions, as well as updates, see OFAC's regulations at 31 CFR chapter V and at <https://home.treasury.gov/policy-issues/office-of-foreign-assets-control-sanctions-programs-and-information>.

(C) To conduct electronic screens of potential parties to regulated transactions, see the consolidated screening list at <https://www.trade.gov/consolidated-screening-list>, which consolidates multiple export screening lists of the Departments of Commerce, State, and the Treasury.

(3) *Sudan prohibition.* The Contractor is prohibited from conducting any restricted business operations in Sudan in accordance with Accountability and Divestment Act of 2007 (Pub. L. 110-174).

(4) *Iran prohibitions.*

(i) Unless an exception applies according to paragraph (d)(4)(iii) or the Government grants a waiver, the contractor shall not engage in certain activities or transactions relating to Iran (section 6(b)(1)(A) of Iran Sanctions Act (50 U.S.C. 1701 note)).

(ii) Unless an exception applies according to paragraph (d)(4)(iii) or the Government grants a waiver, contractor shall not export certain sensitive technology to Iran, as determined by the President, and has an active exclusion in SAM (22 U.S.C. 8515).

(iii) The prohibition in paragraphs (d)(4)(i) and (d)(4)(ii) do not apply if the acquisition is subject to trade agreements and the offeror certifies that all the offered products are designated country end products or designated country construction material (see part 25).

(iv) Unless an exception applies or the Government grants a waiver, contractors are prohibited from knowingly engaging in any significant transaction (i.e., over \$15,000) with Iran's Revolutionary Guard Corps or any of its officials, agents, or affiliates, the property and interests in property of which are blocked according to the International Emergency Economic Powers Act (section 6(b)(1)(B) of Iran Sanctions Act (50 U.S.C. 1701 note)).

(e) *Governmentwide exclusion and removal orders.*

(1) Unless the Government has issued an applicable waiver, contractors shall not provide or use as part of the performance of the contract any covered article, or any products or services produced or provided by a source, if the covered article or the source is prohibited by an applicable FASCSA order as follows:

(i) For solicitations and contracts awarded by a Department of Defense contracting office, DoD FASCSA orders apply.

(ii) For all other solicitations and contracts, DHS FASCSA orders apply.

(2) The Contractor shall search for the phrase "FASCSA order" in the System for Award Management (SAM) at <https://www.sam.gov> to locate applicable FASCSA orders.

(3) The Government may identify in the solicitation other FASCSA orders that are not in SAM, which are effective and apply to the solicitation and resulting contract.

(4) A FASCSA order issued after the date of solicitation applies to this contract only if added by an amendment to the solicitation or modification to the contract (see FAR 40.204-1(c)).



(f) *Reasonable inquiry.* The contractor shall conduct a reasonable inquiry to determine if there are any prohibited products or services. The inquiry will look at any information in the entity's possession but does not need to include an internal or third-party audit.

(g) *Removal of prohibited products and services.* For Federal Supply Schedules, Governmentwide acquisition contracts, multi-agency contracts or any other procurement instrument intended for use by multiple agencies, upon notification from the Contracting Officer, during the performance of the contract, the Contractor shall promptly make any necessary changes or modifications to remove any product or service produced or provided by a source that this clause prohibits.

(h) *General report.*

(1) If the Contractor identifies or is notified by any source, (including a subcontractor at any tier), that any product or service provided or used (or to be provided or used) during contract performance does not comply with any prohibition in this clause, then the Contractor shall report the following information, or as much information is known, in writing to the contracting office as identified in paragraph (h)(2) within 72 hours:

(i) Contract number and order number, if applicable;

(ii) The specific prohibition the product or service is not complying with;

(iii) A description of the products or services that the Contractor identifies or has reason to suspect is prohibited (include brand; model number, such as the original equipment manufacturer (OEM) number, manufacturer part number, or wholesaler number; and item description, as applicable);

(iv) The entity that produced the product or service (include entity name, unique entity identifier, Contractor and Government Entity (CAGE) code, facilities responsible for design, fabrication, assembly, packaging, and test of the product, and whether the entity was the OEM or a distributor (provide manufacturer codes and distributor codes used for the product));

(v) Description of the functionality of the product or service and how that functionality impacts the risk to the product or service;

(vi) An explanation of any factors relevant to determining if the product or service should be permitted by an applicable exception, exemption, or waiver (if the contractor would like the Government to consider a waiver, and asks for such a waiver);

(vii) Whether alternative products or services are available that would comply with the prohibition;

(viii) If the product or service is related to item maintenance, include the following information on the item being maintained:

(A) Brand;

(B) Model number, OEM number, manufacturer part number, or wholesaler number; and

(C) Item description, as applicable.

(ix) Any readily available information about mitigation actions implemented or recommended.

(2) If a report must be submitted to a contracting office, the Contractor shall submit the report as follows:

(i) If a Department of Defense contracting office, the Contractor shall report to the website at <https://dibnet.dod.mil>.

(ii) For all other contracting offices, the Contractor shall report to the Contracting Officer.

(iii) For indefinite delivery contracts, the Contractor shall report to both the contracting office for the indefinite delivery contract and the contracting office for any affected order.

(3) If the report provided does not contain any of the information required by paragraph (h)(1) of this clause, and the contractor later discovers new information that is required by paragraph (h)(1) of this clause, then the contractor shall submit a subsequent report within 72 hours of discovering the new information.

(4) The contractor shall also report the information in paragraph (h)(1) if the contractor wishes to ask for a waiver of the requirements of a new FASCSA order being applied through modification.

(i) *New FASCSA orders report.*

(1) During contract performance, the Contractor shall review SAM at least once every three months, or as advised by the Contracting Officer, to check for covered articles subject to FASCSA order(s), or for products or services produced by a source subject to FASCSA order(s) not currently identified under paragraph (e) of this clause.

(2) If the Contractor identifies a new FASCSA order(s) that could impact their supply chain, then the Contractor shall conduct a reasonable inquiry to identify whether a covered article or product or service produced or provided by a source subject to the FASCSA order(s) was provided to the Government or used during contract performance. The inquiry will look at any information in the entity's possession but does not need to include an internal or third-party audit.

(3) The Contractor shall submit a report to the contracting office identified in paragraph (h)(2) of this clause if the Contractor identifies, including through any notification by a subcontractor at any tier, that a covered article or product or service produced or provided by a source was provided to the Government or used during contract performance and is subject to a FASCSA order(s). For indefinite delivery contracts, the Contractor shall report to both the contracting office for the indefinite delivery contract and the contracting office for any affected order. The Contractor shall report the following information within 72 hours for each covered article or each product or service produced or provided by a source, where the covered article or source is subject to a FASCSA order:

(i) Contract number and order number, if applicable;

(ii) Name of the covered article or source subject to a FASCSA order;

(iii) The specific FASCSA order the product or service does not comply with;

(iv) The elements of (h)(1)(iii) through (ix) of this clause.

(j) Subcontracts. The Contractor shall insert the substance of this clause, including this paragraph (j) but excluding subparagraphs (d)(1) and (i)(1), in all subcontracts and other contractual instruments, including subcontracts for acquiring commercial products or commercial services.

(End of Provision)

## **C.6 VAAR 852.219-73 VA NOTICE OF TOTAL SET-ASIDE FOR CERTIFIED SERVICE-DISABLED VETERAN-OWNED SMALL BUSINESSES (JAN 2023) (DEVIATION)**

(a) *Definition.* for the Department of Veterans Affairs, “*Service-disabled Veteran-owned small business concern or SDVOSB*”:

(1) Means a small business concern—

(i) Not less than 51 percent of which is owned by one or more service-disabled Veterans or, in the case of any publicly owned business, not less than 51 percent of the stock of which is owned by one or more service-disabled Veterans or eligible surviving spouses (see VAAR 802.201, Surviving Spouse definition);

(ii) The management and daily business operations of which are controlled by one or more service-disabled Veterans (or eligible surviving spouses) or, in the case of a service-disabled Veteran with permanent and severe disability, the spouse or permanent caregiver of such Veteran;

(iii) The business meets Federal small business size standards for the applicable North American Industry Classification System (NAICS) code identified in the solicitation document;

(iv) The business has been certified for ownership and control pursuant to 38 U.S.C. 8127, 13 CFR 128, and is listed as certified in the SBA certification database at <https://veterans.certify.sba.gov/>; and

(v) The business agrees to comply with VAAR subpart 819.70 and Small Business Administration (SBA) regulations regarding small business size, government contracting, and the Veteran Small Business Certification Program at 13 CFR parts 121, 125, and 128.

(2) The term “Service-disabled Veteran” means a Veteran, as defined in 38 U.S.C. 101(2), with a disability that is service-connected, as defined in 38 U.S.C. 101(16).

(3) The term “small business concern” has the meaning given that term under section 3 of the Small Business Act (15 U.S.C. 632).

(4) The term “small business concern owned and controlled by Veterans with service-connected disabilities” has the meaning given the term “*small business concern owned and controlled by service-disabled veterans*” under section 3(q)(2) of the Small Business Act (15 U.S.C. 632(q)(2)).

(5) The term “*SDVOSB participant*” or *certified SDVOSB* means a small business that has been certified in the SBA Veteran Small Business Certification Program and listed in the SBA certification database (see 13 CFR 128.102).

(b) *General*. In order for a concern to submit an offer and be eligible for the award of an SDVOSB set-aside or sole source contract, the concern must qualify as a small business concern under the size standard corresponding to the NAICS code assigned to the contract and be listed as an SDVOSB participant in the SBA certification database as set forth in 13 CFR 128.

(1) Offers received from entities that are not certified SDVOSBs and listed in the SBA certification database at the time of offer shall not be considered.

(2) Any award resulting from this solicitation shall be made to a certified SDVOSB listed in the SBA certification database who is eligible at the time of submission of offer(s) and at the time of award.

(3) The requirements in this clause apply to any contract, order or subcontract where the firm receives a benefit or preference from its designation as an SDVOSB, including set-asides, sole source awards, and evaluation preferences.

(c) *Representation*. Pursuant to 38 U.S.C. 8127(e), only certified SDVOSBs listed in the SBA certification database are considered eligible to receive award of a resulting contract. By submitting an offer, the prospective contractor represents that it is an eligible and certified SDVOSB as defined in this clause, 13 CFR 121, 125, and 128, and VAAR subpart 819.70.

(d) *Agreement/LOS certification*. When awarded a contract action, including orders under multipleaward contracts, an SDVOSB agrees that in the performance of the contract, the SDVOSB shall comply with requirements in VAAR subpart 819.70 and SBA regulations on small business size, and government contracting programs at 13 CFR part 121 and part 125, including the non-manufacturer rule and limitations on subcontracting (LOS) requirements in 13 CFR 121.406(b) and 13 CFR 125.6. For the purpose of limitations on subcontracting, only certified SDVOSBs listed in the SBA certification database (including independent contractors) shall be considered eligible and/or “similarly situated” (i.e., a firm that has the same small business program status as the prime contractor). An otherwise eligible firm further agrees to comply with the required LOS certification requirements in this solicitation (see 852.219–75 or 852.219–76 as applicable). These requirements are summarized as follows:

(1) *Services*. In the case of a contract for services (except construction), the SDVOSB prime contractor will not pay more than 50% of the amount paid by the government to the prime for contract performance to firms that are not certified SDVOSBs listed in the SBA certification database (excluding direct costs to the extent they are not the principal purpose of the acquisition and the SDVOSB/ VOSB does not provide the service, such as airline travel, cloud computing services, or mass media purchases). When a contract includes both services and supplies, the 50 percent limitation shall apply only to the service portion of the contract.

(2) *Supplies/products*.

(i) In the case of a contract for supplies or products (other than from a non-manufacturer of such supplies), the SDVOSB prime contractor will not pay more than 50% of the amount paid by the government to the prime for contract performance, excluding the cost of materials, to firms that are not certified SDVOSBs listed in the SBA certification database. When a contract includes both supply and services, the 50 percent limitation shall apply only to the supply portion of the contract.

(ii) In the case of a contract for supplies from a non-manufacturer, the SDVOSB prime contractor will supply the product of a domestic small business manufacturer or processor, unless a waiver as described in 13 CFR 121.406(b)(5) has been granted. Refer to 13 CFR 125.6(a)(2)(ii) for guidance pertaining to multiple item procurements.

(3) *General construction.* In the case of a contract for general construction, the SDVOSB prime contractor will not pay more than 85% of the amount paid by the government to the prime for contract performance, excluding the cost of materials, to firms that are not certified SDVOSBs listed in the SBA certification database.

(4) *Special trade construction contractors.* In the case of a contract for special trade contractors, no more than 75% of the amount paid by the government to the prime for contract performance, excluding the cost of materials, may be paid to firms that are not certified SDVOSBs listed in the SBA certification database.

(5) *Subcontracting.* An SDVOSB subcontractor must meet the NAICS size standard assigned by the prime contractor and be certified and listed in the SBA certification database to count as similarly situated. Any work that a first tier SDVOSB subcontractor further subcontracts will count towards the percent of subcontract amount that cannot be exceeded. For supply or construction contracts, the cost of materials is excluded and not considered to be subcontracted. When a contract includes both services and supplies, the 50 percent limitation shall apply only to the portion of the contract with the preponderance of the expenditure upon which the assigned NAICS is based. For information and more specific requirements, refer to 13 CFR 125.6.

(e) *Required limitations on subcontracting compliance measurement period.* An SDVOSB shall comply with the limitations on subcontracting as follows:

☐ By the end of the base term of the contract or order, and then by the end of each subsequent option period; or

☒ By the end of the performance period for each order issued under the contract.

(f) *Joint ventures.* A joint venture may be considered eligible as an SDVOSB if the joint venture complies with the requirements in 13 CFR 128.402 and the managing joint venture partner makes the representations under paragraph (c) of this clause. A joint venture agrees that, in the performance of the contract, the applicable percentage specified in paragraph (d) of this clause will be performed by the aggregate of the joint venture participants.

(g) *Precedence.* The VA Veterans First Contracting Program, as defined in VAAR 802.101, subpart 819.70, and this clause, takes precedence over any inconsistencies between the

requirements of the SBA Veteran Small Business Certification Program and the VA Veterans First Contracting Program.

(h) *Misrepresentation*. Pursuant to 38 U.S.C. 8127(g), any business concern, including all its principals, that is determined by VA to have willfully and intentionally misrepresented a company's SDVOSB status is subject to debarment from contracting with the Department for a period of not less than five years (see VAAR 809.406–2 Causes for Debarment).

(End of Clause)

## **C.7 VAAR 852.219-75 VA NOTICE OF LIMITATIONS ON SUBCONTRACTING—CERTIFICATE OF COMPLIANCE FOR SERVICES AND CONSTRUCTION (JAN 2023) (DEVIATION)**

(a) Pursuant to 38 U.S.C. 8127(l)(2), the offeror certifies that—

(1) If awarded a contract (see FAR 2.101 definition), it will comply with the limitations on subcontracting requirement as provided in the solicitation and the resultant contract, as follows:

(i) ☒ *Services*. In the case of a contract for services (except construction), the contractor will not pay more than 50% of the amount paid by the government to it to firms that are not certified SDVOSBs listed in the SBA certification database as set forth in 852.219–73 or certified VOSBs listed in the SBA certification database as set forth in 852.219–74. Any work that a similarly situated certified SDVOSB/VOSB subcontractor further subcontracts will count towards the 50% subcontract amount that cannot be exceeded. Other direct costs may be excluded to the extent they are not the principal purpose of the acquisition and small business concerns do not provide the service as set forth in 13 CFR 125.6.

(ii) ☐ *General construction*. In the case of a contract for general construction, the contractor will not pay more than 85% of the amount paid by the government to it to firms that are not certified SDVOSBs listed in the SBA certification database as set forth in 852.219–73 or certified VOSBs listed in the SBA certification database as set forth in 852.219–74. Any work that a similarly situated certified SDVOSB/VOSB subcontractor further subcontracts will count towards the 85% subcontract amount that cannot be exceeded. Cost of materials are excluded and not considered to be subcontracted.

(iii) ☐ *Special trade construction contractors*. In the case of a contract for special trade contractors, the contractor will not pay more than 75% of the amount paid by the government to it to firms that are not certified SDVOSBs listed in the SBA certification database as set forth in 852.219–73 or certified VOSBs listed in the SBA certification database as set forth in 852.219–74. Any work that a similarly situated certified SDVOSB/VOSB subcontractor further subcontracts will count towards the 75% subcontract amount that cannot be exceeded. Cost of materials are excluded and not considered to be subcontracted.

(2) The offeror acknowledges that this certification concerns a matter within the jurisdiction of an Agency of the United States. The offeror further acknowledges that this certification is subject to Title 18, United States Code, Section 1001, and, as such, a false, fictitious, or fraudulent certification may render the offeror subject to criminal, civil, or administrative penalties, including prosecution.

(3) If VA determines that an SDVOSB/ VOSB awarded a contract pursuant to 38 U.S.C. 8127 did not act in good faith, such SDVOSB/VOSB shall be subject to any or all of the following:

- (i) Referral to the VA Suspension and Debarment Committee;
- (ii) A fine under section 16(g)(1) of the Small Business Act (15 U.S.C. 645(g)(1)); and
- (iii) Prosecution for violating 18 U.S.C. 1001.

(b) The offeror represents and understands that by submission of its offer and award of a contract it may be required to provide copies of documents or records to VA that VA may review to determine whether the offeror complied with the limitations on subcontracting requirement specified in the contract. Contracting officers may, at their discretion, require the contractor to demonstrate its compliance with the limitations on subcontracting at any time during performance and upon completion of a contract if the information regarding such compliance is not already available to the contracting officer. Evidence of compliance includes, but is not limited to, invoices, copies of subcontracts, or a list of the value of tasks performed.

(c) The offeror further agrees to cooperate fully and make available any documents or records as may be required to enable VA to determine compliance with the limitations on subcontracting requirement. The offeror understands that failure to provide documents as requested by VA may result in remedial action as the Government deems appropriate.

(d) Offeror completed certification/fill-in required. The formal certification must be completed, signed and returned with the offeror's bid, quotation, or proposal. The Government will not consider offers for award from offerors that do not provide the certification, and all such responses will be deemed ineligible for evaluation and award.

#### Certification

I hereby certify that if awarded the contract, [insert name of offeror] will comply with the limitations on subcontracting specified in this clause and in the resultant contract. I further certify that I am authorized to execute this certification on behalf of [insert name of offeror].

Printed Name of Signee: \_\_\_\_\_

Printed Title of Signee: \_\_\_\_\_

Signature: \_\_\_\_\_

Date: \_\_\_\_\_

Company Name and Address: \_\_\_\_\_

(End of Clause)

## **C.8 VAAR 852.232-72 ELECTRONIC SUBMISSION OF PAYMENT REQUESTS (NOV 2018)**

(a) *Definitions.* As used in this clause—

- (1) *Contract financing payment* has the meaning given in FAR 32.001;

(2) *Designated agency office* means the office designated by the purchase order, agreement, or contract to first receive and review invoices. This office can be contractually designated as the receiving entity. This office may be different from the office issuing the payment;

(3) *Electronic form* means an automated system transmitting information electronically according to the accepted electronic data transmission methods and formats identified in paragraph (c) of this clause. Facsimile, email, and scanned documents are not acceptable electronic forms for submission of payment requests;

(4) *Invoice payment* has the meaning given in FAR 32.001; and

(5) *Payment request* means any request for contract financing payment or invoice payment submitted by the contractor under this contract.

(b) *Electronic payment requests.* Except as provided in paragraph (e) of this clause, the contractor shall submit payment requests in electronic form. Purchases paid with a Government-wide commercial purchase card are considered to be an electronic transaction for purposes of this rule, and therefore no additional electronic invoice submission is required.

(c) *Data transmission.* A contractor must ensure that the data transmission method and format are through one of the following:

(1) VA's Electronic Invoice Presentment and Payment System at the current website address provided in the contract.

(2) Any system that conforms to the X12 electronic data interchange (EDI) formats established by the Accredited Standards Center (ASC) and chartered by the American National Standards Institute (ANSI).

(d) *Invoice requirements.* Invoices shall comply with FAR 32.905.

(e) *Exceptions.* If, based on one of the circumstances in this paragraph (e), the Contracting Officer directs that payment requests be made by mail, the Contractor shall submit payment requests by mail through the United States Postal Service to the designated agency office. Submission of payment requests by mail may be required for—

(1) Awards made to foreign vendors for work performed outside the United States;

(2) Classified contracts or purchases when electronic submission and processing of payment requests could compromise the safeguarding of classified or privacy information;

(3) Contracts awarded by contracting officers in the conduct of emergency operations, such as responses to national emergencies;

(4) Solicitations or contracts in which the designated agency office is a VA entity other than the VA Financial Services Center in Austin, Texas; or

(5) Solicitations or contracts in which the VA designated agency office does not have electronic invoicing capability as described above.

(End of Clause)



## C.9 VAAR 852.242-71 ADMINISTRATIVE CONTRACTING OFFICER (OCT 2020)

The Contracting Officer reserves the right to designate an Administrative Contracting Officer (ACO) for the purpose of performing certain tasks/duties in the administration of the contract. Such designation will be in writing through an ACO Letter of Delegation and will identify the responsibilities and limitations of the ACO. A copy of the ACO Letter of Delegation will be furnished to the Contractor.

(End of Clause)

## C.10 52.252-2 CLAUSES INCORPORATED BY REFERENCE (FEB 1998)

This contract incorporates one or more clauses by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available. Also, the full text of a clause may be accessed electronically at this/these address(es):

<https://www.acquisition.gov/browse/index/far>  
<https://www.va.gov/oal/library/vaar/>

(End of Clause)

| <u>FAR<br/>Number</u> | <u>Title</u>                                                 | <u>Date</u> |
|-----------------------|--------------------------------------------------------------|-------------|
| 52.203-17             | CONTRACTOR EMPLOYEE WHISTLEBLOWER RIGHTS                     | NOV 2023    |
| 52.204-9              | PERSONAL IDENTITY VERIFICATION OF CONTRACTOR PERSONNEL       | JAN 2011    |
| 52.204-13             | SYSTEM FOR AWARD MANAGEMENT—MAINTENANCE (DEVIATION)          | NOV 2025    |
| 852.201-70            | CONTRACTING OFFICER'S REPRESENTATIVE                         | DEC 2022    |
| 852.203-70            | COMMERCIAL ADVERTISING                                       | MAY 2018    |
| 852.204-70            | PERSONAL IDENTITY VERIFICATION OF CONTRACTOR PERSONNEL       | MAY 2020    |
| 852.222-71            | COMPLIANCE WITH EXECUTIVE ORDER 13899 (DEVIATION) (APR 2025) | APR 2025    |

(End of Addendum to 52.212-4)

## C.11 MANDATORY WRITTEN DISCLOSURES

Mandatory written disclosures required by FAR clause 52.203-13 to the Department of Veterans Affairs, Office of Inspector General (OIG) must be made electronically through the VA OIG Hotline at <https://www.vaogig.gov/hotline/online-forms> and clicking on "FAR clause 52.203-13 Reporting." If you experience difficulty accessing the website, call the Hotline at 1-800-488-8244 for further instructions.

| <u>FAR<br/>Number</u> | <u>Title</u>                                                                       | <u>Date</u> |
|-----------------------|------------------------------------------------------------------------------------|-------------|
| 52.203-19             | PROHIBITION ON REQUIRING CERTAIN INTERNAL CONFIDENTIALITY AGREEMENTS OR STATEMENTS | JAN 2017    |

|           |                                                                    |          |
|-----------|--------------------------------------------------------------------|----------|
| 52.209-10 | PROHIBITION ON CONTRACTING WITH INVERTED<br>DOMESTIC CORPORATIONS  | NOV 2015 |
| 52.232-40 | PROVIDING ACCELERATED PAYMENTS TO SMALL<br>BUSINESS SUBCONTRACTORS | MAR 2023 |
| 52.233-3  | PROTEST AFTER AWARD                                                | AUG 1996 |
| 52.233-4  | APPLICABLE LAW FOR BREACH OF CONTRACT CLAIM                        | OCT 2004 |

## **SECTION D - CONTRACT DOCUMENTS, EXHIBITS, OR ATTACHMENTS**

## SECTION E - SOLICITATION PROVISIONS

| <u>FAR<br/>Number</u> | <u>Title</u>                                                                                             | <u>Date</u> |
|-----------------------|----------------------------------------------------------------------------------------------------------|-------------|
| 52.212-1              | INSTRUCTIONS TO OFFERORS—COMMERCIAL<br>PRODUCTS AND COMMERCIAL SERVICES<br>(End of Addendum to 52.212-1) | SEP 2023    |

### ADDENDUM to FAR 52.212-1 INSTRUCTIONS TO OFFERORS—COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

Provisions that are incorporated by reference (by Citation Number, Title, and Date), have the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available.

The following provisions are incorporated into 52.212-1 as an addendum to this solicitation:

#### **E.1 52.201-1 ACQUISITION 360: VOLUNTARY SURVEY (SEP 2023)**

(a) All actual and potential offerors are encouraged to provide feedback on the preaward and debriefing processes, as applicable. Feedback may be provided to agencies up to 45 days after award. The feedback is anonymous, unless the participant self-identifies in the survey. Actual and potential offerors can participate in the survey by selecting the following link: <https://www.acquisition.gov/360>.

(b) The Contracting Officer will not review the information provided until after contract award and will not consider it in the award decision. The survey is voluntary and does not convey any protections, rights, or grounds for protest. It creates a way for actual and potential offerors to provide the Government constructive feedback about the preaward and debriefing processes, as applicable, used for a specific acquisition.

(End of Clause)

| <u>FAR<br/>Number</u> | <u>Title</u>                                 | <u>Date</u> |
|-----------------------|----------------------------------------------|-------------|
| 52.209-7              | INFORMATION REGARDING RESPONSIBILITY MATTERS | OCT 2018    |

#### **E.2 52.216-1 TYPE OF CONTRACT (NOV 2025) (DEVIATION) ALTERNATE I (NOV 2025)**

Offerors may propose an alternative contract type.

(End of Provision)

| <u>FAR</u> | <u>Title</u> | <u>Date</u> |
|------------|--------------|-------------|
|------------|--------------|-------------|

**Number**

52.240-90

SECURITY PROHIBITIONS AND EXCLUSIONS  
 REPRESENTATIONS AND CERTIFICATIONS  
 (DEVIATION)

NOV 2025

**E.3 VAAR 852.233-71 ALTERNATE PROTEST PROCEDURE (OCT 2018)**

(a) As an alternative to filing a protest with the Contracting Officer, an interested party may file a protest by mail or electronically with: Executive Director, Office of Acquisition and Logistics, Risk Management and Compliance Service (003A2C), Department of Veterans Affairs, 810 Vermont Avenue NW, Washington, DC 20420 or Email: *EDProtests@va.gov*.

(b) The protest will not be considered if the interested party has a protest on the same or similar issue(s) pending with the Contracting Officer.

(End of Provision)

PLEASE NOTE: The correct mailing information for filing alternate protests is as follows:

Deputy Assistant Secretary for Acquisition and Logistics,  
 Risk Management Team, Department of Veterans Affairs  
 810 Vermont Avenue, N.W.  
 Washington, DC 20420

Or for solicitations issued by the Office of Construction and Facilities Management:

Director, Office of Construction and Facilities Management  
 811 Vermont Avenue, N.W.  
 Washington, DC 20420

**E.4 52.212-2 EVALUATION—COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES (NOV 2021)**

(a) The Government will award a contract resulting from this solicitation to the responsible offeror whose offer conforming to the solicitation will be most advantageous to the Government, price and other factors considered. The following factors shall be used to evaluate offers:

technical approach - how well the proposed services meet

needs of the Government

past performance - all past performance will be considered

including, but not limited to, CPARS

price

Technical and past performance, when combined, are more important than price.

(b) *Options*. The Government will evaluate offers for award purposes by adding the total price for all options to the total price for the basic requirement. The Government may determine that an offer is unacceptable if the option prices are significantly unbalanced. Evaluation of options shall not obligate the Government to exercise the option(s).

(c) A written notice of award or acceptance of an offer, mailed or otherwise furnished to the successful offeror within the time for acceptance specified in the offer, shall result in a binding contract without further action by either party. Before the offer's specified expiration time, the Government may accept an offer (or part of an offer), whether or not there are negotiations after its receipt, unless a written notice of withdrawal is received before award.

(End of Provision)

## **E.5 52.252-1 SOLICITATION PROVISIONS INCORPORATED BY REFERENCE (FEB 1998)**

This solicitation incorporates one or more solicitation provisions by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available. The offeror is cautioned that the listed provisions may include blocks that must be completed by the offeror and submitted with its quotation or offer. In lieu of submitting the full text of those provisions, the offeror may identify the provision by paragraph identifier and provide the appropriate information with its quotation or offer. Also, the full text of a solicitation provision may be accessed electronically at this/these address(es):

<https://www.acquisition.gov/browse/index/far>  
<https://www.va.gov/oal/library/vaar/>

(End of Provision)

| <b><u>FAR<br/>Number</u></b> | <b><u>Title</u></b>                                                                                                                                                      | <b><u>Date</u></b> |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|
| 52.212-3                     | OFFEROR REPRESENTATIONS AND CERTIFICATIONS—<br>COMMERCIAL PRODUCTS AND COMMERCIAL<br>SERVICES                                                                            | OCT 2025           |
| 52.204-7                     | SYSTEM FOR AWARD MANAGEMENT—REGISTRATION<br>(DEVIATION)                                                                                                                  | NOV 2025           |
| 52.229-11                    | TAX ON CERTAIN FOREIGN PROCUREMENTS—NOTICE<br>AND REPRESENTATION                                                                                                         | JUN 2020           |
| 852.239-75                   | INFORMATION AND COMMUNICATION TECHNOLOGY<br>ACCESSIBILITY NOTICE                                                                                                         | FEB 2023           |
| 852.233-70                   | PROTEST CONTENT/ALTERNATIVE DISPUTE<br>RESOLUTION                                                                                                                        | OCT 2018           |
| 52.203-6                     | RESTRICTIONS ON SUBCONTRACTOR SALES TO THE<br>GOVERNMENT ALTERNATE I (NOV 2021)                                                                                          | JUN 2020           |
| 52.209-6                     | PROTECTING THE GOVERNMENT'S INTEREST WHEN<br>SUBCONTRACTING WITH CONTRACTORS DEBARRED,<br>SUSPENDED, PROPOSED FOR DEBARMENT, OR<br>VOLUNTARILY EXCLUDED                  | JAN 2025           |
| 52.219-6                     | NOTICE OF TOTAL SMALL BUSINESS SET-ASIDE<br>(DEVIATION) ALTERNATE I (NOV 2025)                                                                                           | NOV 2025           |
| 52.219-27                    | NOTICE OF SET-ASIDE FOR, OR SOLE-SOURCE AWARD<br>TO, SERVICE-DISABLED VETERAN-OWNED SMALL<br>BUSINESS (SDVOSB) CONCERNS ELIGIBLE UNDER THE<br>SDVOSB PROGRAM (DEVIATION) | NOV 2025           |
| 52.219-28                    | POSTAWARD SMALL BUSINESS PROGRAM<br>REREPRESENTATION (DEVIATION)                                                                                                         | NOV 2025           |
| 52.222-35                    | EQUAL OPPORTUNITY FOR VETERANS (DEVIATION)                                                                                                                               | NOV 2025           |

|            |                                                                                                                                 |          |
|------------|---------------------------------------------------------------------------------------------------------------------------------|----------|
| 52.222-36  | EQUAL OPPORTUNITY FOR WORKERS WITH DISABILITIES (DEVIATION)                                                                     | NOV 2025 |
| 52.222-37  | EMPLOYMENT REPORTS ON VETERANS (DEVIATION)                                                                                      | NOV 2025 |
| 52.222-40  | NOTIFICATION OF EMPLOYEE RIGHTS UNDER THE NATIONAL LABOR RELATIONS ACT (DEVIATION)                                              | NOV 2025 |
| 52.222-50  | COMBATING TRAFFICKING IN PERSONS (DEVIATION)                                                                                    | NOV 2025 |
| 52.222-54  | EMPLOYMENT ELIGIBILITY VERIFICATION (DEVIATION)                                                                                 | NOV 2025 |
| 52.226-8   | ENCOURAGING CONTRACTOR POLICIES TO BAN TEXT MESSAGING WHILE DRIVING                                                             | MAY 2024 |
| 52.229-12  | TAX ON CERTAIN FOREIGN PROCUREMENTS                                                                                             | FEB 2021 |
| 52.222-41  | SERVICE CONTRACT LABOR STANDARDS (DEVIATION)                                                                                    | NOV 2025 |
| 52.222-42  | STATEMENT OF EQUIVALENT RATES FOR FEDERAL HIRES                                                                                 | MAY 2014 |
| 52.222-43  | FAIR LABOR STANDARDS ACT AND SERVICE CONTRACT LABOR STANDARDS-PRICE ADJUSTMENT (MULTIPLE YEAR AND OPTION CONTRACTS) (DEVIATION) | NOV 2025 |
| 52.222-62  | PAID SICK LEAVE UNDER EXECUTIVE ORDER 13706 (DEVIATION)                                                                         | NOV 2025 |
| 52.222-44  | FAIR LABOR STANDARDS ACT AND SERVICE CONTRACT LABOR STANDARDS—PRICE ADJUSTMENT (DEVIATION)                                      | NOV 2025 |
| 52.224-3   | PRIVACY TRAINING                                                                                                                | JAN 2017 |
| 52.203-11  | CERTIFICATION AND DISCLOSURE REGARDING PAYMENTS TO INFLUENCE CERTAIN FEDERAL TRANSACTIONS                                       | SEP 2024 |
| 52.203-18  | PROHIBITION ON CONTRACTING WITH ENTITIES THAT REQUIRE CERTAIN INTERNAL CONFIDENTIALITY AGREEMENTS OR STATEMENTS—REPRESENTATION  | JAN 2017 |
| 52.219-1   | SMALL BUSINESS PROGRAM REPRESENTATIONS (DEVIATION)                                                                              | NOV 2025 |
| 852.239-71 | INFORMATION SYSTEM SECURITY PLAN AND ACCREDITATION                                                                              | FEB 2023 |

End of Document

First Pharmacy Fill Services – VISN 4